

FX Daily: Headline-driven trading continues

The dollar continues to be bounced around by the latest headlines on the war in the Middle East. Traders will be eager to hear, particularly from the Iranian side, whether there is any realistic chance of ceasefire negotiations getting started. Until then, any further rally in risk assets and sell-off in the dollar will prove limited



➔ USD: Probably near the top of the range

The dollar sold off yesterday on comments from President Trump that negotiations had started with the Iranian regime. Sources in Iran denied that any such activity was taking place. The fact that the dollar has stayed soft over the last 24 hours probably represents the view that Washington is increasingly looking for an off-ramp to this crisis. The Strait of Hormuz remains shut and despite the US being a net energy exporter, US gasoline prices have surged 30% to near \$4.00 per gallon, the S&P 500 is off 5%, and US ten-year government borrowing costs are up 40bp.

Iran has leverage with the Strait of Hormuz, however. For another big leg higher in risk assets to occur, we probably need to hear something positive from the Iranian side. News from the US that envoys are being sent for negotiations in Pakistan may not be enough to trigger another significant drop in the dollar.

Beyond the inevitable set of Middle East headlines today, the US macro focus will be on the weekly ADP jobs report (any job losses yet?), and the provisional March PMI releases. It may be a little too early for the PMIs to come lower, but clearly an energy supply shock will inevitably take its toll on business sentiment.

DXY has recently stalled at the top of the nine-month range near 100.25/50. We think its medium-term upside is limited unless energy prices make another major move higher or challenges emerge in financial plumbing, such as the cross-currency basis swaps moving wider (briefly seen yesterday) as banks use the FX swap market to secure dollar funding in wholesale markets.

99.00-100.00 may be the near-term range until we see the next decisive chapter in this Middle East conflict.

Chris Turner

➔ EUR: Doubts emerge about an April ECB hike

President Trump's comments in the late European morning yesterday quickly saw the market cut the chances of an April ECB rate hike to 65% from 100%. Our macro team, at this stage, feel a hike in April is very unlikely. However, it does not cost much for the ECB to talk tough, souring this supply shock in an effort to keep inflation expectations in check. On that subject, the ECB releases its survey on one-year and three-year inflation expectations this Friday – although this is for February.

For today, the focus will be on the flash March PMIs for the eurozone, Germany and France. A lot of these are expected to dip back under 50 as businesses struggle to deal with higher energy prices and weaker domestic demand.

EUR/USD has short-term resistance at 1.1610 and 1.1670. We struggle to see EUR/USD breaking above the latter level unless there is positive news on negotiations emerging from Iranian sources.

Chris Turner

⬇ GBP: Staying surprisingly bid

Even though UK short-dated interest rates had some of the biggest adjustments lower yesterday, EUR/GBP remains surprisingly offered. Clear support is defined at the 0.8600/8620 area, which we – and probably the rest of the market – expect to hold. That is the same for the FX option market, where the EUR/GBP one-month risk reversal – or the price of a call option over an equivalent put option – remains bid at its recent highs of 0.8%.

Our UK economist also feels the bar is exceptionally high for the Bank of England to hike the already restrictive policy rate, and it may well be that softer activity data takes some of the sting out of BoE tightening expectations.

A big drop in some of the March flash UK PMIs today could weigh a little on sterling, although we should be wary of comments from Bank of England arch-hawk, Huw Pill, at 1430CET today. He could well say he plans to vote for an April hike.

Our baseline assumes 0.8600/8620 does contain EUR/GBP downside.

Chris Turner

📉 ZAR: Slow recovery for the rand

After a near 10% correction higher in USD/ZAR over the last month, we doubt investors will be so quick to jump back into the rand story. The surge in energy prices has triggered a 100bp hawkish turnaround in expectations of the South African Reserve Bank policy path for the next 12 months, and reversed the strong portfolio flows into the local currency bond market. The huge correction lower in gold prices, as well as the surge in energy prices, have also delivered a major deterioration in South Africa's terms of trade.

USD/ZAR may now struggle to break back under its 100-day moving average near 16.50/55 unless there is a massive reversal lower in energy prices and some earlier Fed easing is back on the table.

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Rates Spark: To the brink and back

Just when markets feared the worst, renewed hopes of an end to the conflict pulled them back from the brink. While central bank pricing has eased from extremes, it remains aggressive and likely to stay that way, given persistent uncertainty and limited liquidity in many markets



Markets expressed a sigh of relief after President Trump postponed strikes on Iran's energy infrastructure

Renewed hope, but not the all-clear required to turn the market

At one point on Monday, the market was almost fully discounting four rate hikes from the European Central Bank this year, with a hike already in April fully priced. At the longer end of the curve, the 10y EUR swap rate moved past the 3% threshold with a muted reaction to the real rate, suggesting that the main consideration here was still the inflation feed-through.

However, elsewhere, the knock-on effects of such extreme pricing were felt more painfully. And this did hint at tipping points coming closer. The 10y BTP/Bund spread surpassed 100bp, a more than 10bp widening of the spread versus the end of last week. Bunds outperformed swaps in short-to-intermediate tenors, which is usually a clearer sign of flight to quality.

It was only after the headlines that Trump had postponed strikes on Iranian energy infrastructure that the market turned with a sigh of relief. The headlines about talks with Iran being resumed offer some hope for an end to the conflict.

Still, energy prices remain elevated, and so does market pricing of central bank tightening. The implied probability of an ECB hike in April still sits above 50%. Given the limited additional information that the ECB is likely to have at that point in practice, that still looks like a stretch to us. The eurozone flash PMIs today could rather highlight the downside to sentiment coming from the turmoil. Given that uncertainty around the conflict remains high and liquidity in many markets limited, the lack of conviction to take the other side of the trade can keep market pricing lingering at these seemingly stretched levels.

Tuesday's events and market view

In terms of data, the release of the flash PMIs for March is the main event. Manufacturing PMIs are seen as the most vulnerable to fallout from the geopolitical turmoil, with consensus expecting the eurozone index to slip just below the 50 threshold. In the US, we will also have the release of the weekly ADP employment change.

The key focus should be on the various central bank speakers. The ECB's Kocher, Sleijpen, Cipollone and Lane are scheduled to speak. In the UK, the BoE's chief economist, Huw Pill, is due to speak, while in the US, the Fed's Michael Barr is expected to speak on the economic outlook.

Eurozone government bond supply will come from the Netherlands auctioning 30y bonds (€1.5-2bn) and Germany selling 5y bonds (€5bn). The UK auctions 10y gilts (£2.25bn), while the US sells new 2y notes (US\$69bn).

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Polish consumer to feel impact of Middle East conflict in March

Polish retail sales rose by 5.0% YoY in February amid a low reference base from the previous year, but the impact of the war in Iran, elevated uncertainty and higher fuel prices will weigh on consumer behaviour in the March data. Private consumption has been the main driver of GDP growth in recent quarters, but downside risks to 2026 growth are mounting



Krakow, Poland

Weak consumption in February retail sales data

Retail sales grew by 5.0%YoY in February (ING: 7.8%; consensus: 5.9%) after an increase of 4.4%YoY in January. Seasonally adjusted data indicate a 1.1% MoM decline. The implied deflator of retail sales fell 0.7%YoY after a drop of 0.5%YoY in the previous month.

The faster pace of retail sales growth in February compared with January is unsurprising, but given the low base from last year, we had projected an even higher annual growth rate. A low rate of growth was recorded in the category of durable consumer goods, which had seen an acceleration in growth last year. Growth in sales of furniture, consumer electronics and household appliances slowed to 7.2% YoY, compared with double digit increases over the previous 11 months.

After a positive surprise in the “textiles, clothing and footwear” category in January (an increase of 17.7% YoY), February sales were nearly stagnant (0.8% YoY), suggesting that households replenished their shortages of warm clothing in the previous month. Car sales rose by 2.7% YoY, returning to growth after a January correction linked to the accumulation of purchases before the end of 2025.

Conflict in the Middle East likely to infiltrate into the real economy soon

February's sales data confirm that the beginning of 2026 was still favourable for consumption, but the real test of consumer conditions will come with the March data, when the impact of the conflict in the Middle East becomes visible. It has led to a sharp increase in petrol prices and a deterioration in consumer sentiment.

This will most likely negatively affect consumer spending in the coming months due to elevated uncertainty, which may translate into a greater propensity to save, as well as a negative income effect (higher fuel expenditure at the expense of other spending). The scale of this impact will depend on the intensity and duration of the conflict.

Our GDP growth forecast for 2026 is at risk

Our forecast of 3.7% GDP growth in 2026 is based, among other factors, on the assumption that the pace of private consumption growth will remain close to that of 2025, when it increased by 3.7% YoY. At the same time, 2026 will see a significant decline in the growth rate of real disposable income, meaning that a fall in the savings rate is needed to sustain consumption growth.

The emergence of a new source of uncertainty – namely, the war in Iran and the surge in fuel prices – may trigger households' reluctance to draw down their savings. The 2Q26 data may not yet reflect this, but subsequent readings probably will.

Additionally, a rise in expected inflation, driven by fuel price increases, negatively affects real disposable incomes. The deterioration in consumer and business sentiment and confidence poses a risk to consumption and private investment, generating downside risks to the GDP forecast for 2026.

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FX Daily: Sell-everything environment favours the dollar

Risk sentiment is deteriorating at the start of this week as the US and Iran appear far from peace discussions. Bonds and precious metals are following equities lower – an environment that heavily favours the dollar. Alongside Gulf developments, we'll watch central bankers' comments closely this week as a test of the recent hawkish repricing



Equities, bonds and precious metals are all taking a hit, and this is an ideal environment for the dollar

↑ USD: Upside risks persist

The weekend brought a few media reports about the US and Iran establishing some communication to discuss the terms of a potential ceasefire, but the tone remains highly confrontational for now. US President Donald Trump gave a 48-hour ultimatum on Saturday for the re-opening of the Strait of Hormuz, threatening to strike Iran's power facilities. Tehran has so far doubled down on its threats to extend the Hormuz blockage. Oil prices remain well-supported, with Brent still above 110\$/bbl and a sell-everything mood in markets affecting equities, bonds and precious metals. This is an ideal environment for the dollar, especially against higher beta currencies.

Alongside developments in the Gulf, we'll be watching Federal Reserve speakers very closely this week in light of the recent rate repricing and markets interpreting Chair Jerome Powell's press

conference as hawkish. Today, Stephen Miran is scheduled to speak to the media; he voted for a cut again last week, and we doubt markets will put much weight on his words. Speeches by Michael Barr, Lisa Cook, Philip Jefferson and Mary Daly are already scheduled for this week and a few more should be added.

Unlike in the eurozone and UK, markets aren't pricing in tightening in the US (less than 30% of a hike by year-end), but still sit in clear contradiction with the Fed's median Dot Plot, which shows a cut in 2026. Developments in the energy market will probably influence upcoming Fedspeak, but based on the Dot Plot there is a chance of some more dovish-leaning remarks relative to market pricing. After all, the Fed has a dual mandate and the already fragile jobs market may be facing a longer-lasting impact than inflation from this war.

Still, oil prices and implications for broader risk sentiment will remain the primary driver for the dollar, with any adjustments in Fed pricing driven by Fedspeak having a smaller and shorter-lived impact. A move below 99.0 in DXY would probably indicate some build-up of optimistic trades on the war in the FX market.

Francesco Pesole

📌 EUR: Hoping for clarification by ECB speakers

Watching central bank speakers may be even more important for the European Central Bank than for the Fed this week. Thursday's report that the ECB is considering an April hike has caused a major repricing in EUR swaps, which now attach an 80% probability to April, with three hikes fully priced in by year-end.

It still seems too hawkish to us, but we admit last week's messaging was clearly hawkish and when a central bank tightens, it often delivers no fewer than two hikes. The longer oil prices remain at these elevated levels, the more realistic those hikes will be. However, given the size of the hawkish repricing, dovish comments can cause significant adjustments in front-end euro rates. Today, we'll hear from a dove (Piero Cipollone) as well as Chief Economist Philip Lane. President Christine Lagarde is due to deliver remarks on Wednesday and there are plenty of other speakers to watch.

On the data side, PMI and Ifo surveys will be the highlight this week. Consensus is for a moderate decline in both, but considering the size of the ZEW drop, risks are on the downside.

EUR/USD has received support on hawkish ECB news, but with oil prices this elevated, risk sentiment unstable and markets already pricing in three ECB hikes, the risks look skewed to the downside. A correction to pre-ECB meeting 1.145 levels would confirm the FX market is not finding a sustainable anchor in the now tighter rate differentials.

Francesco Pesole

📌 GBP: Risk off argues against EUR/GBP decline

While Bank of England policymakers aren't as active in off-meeting comments as Fed or ECB members, we'll hear from Chief Economist Huw Pill tomorrow, and from Megan Greene, Sarah Breedon and Alan Taylor later this week. Here, rate expectations should also be very sensitive to any remarks.

On the data side, UK inflation for February is published on Wednesday but should not matter much

given the March developments so far. Tomorrow's PMIs will be more interesting.

EUR/GBP is around 0.5% above its short-term fair value in our estimates, but risk sentiment instability argues against major downward corrections.

Francesco Pesole

📌 JPY: Intervention above 160?

Japan's CPI, released tonight, should slow further in February thanks to the government's energy subsidy, indicating that the pre crisis disinflation trend continued. Still, core core inflation should remain well above 2%. With energy prices likely to rise again, inflation may pick up in the coming months, keeping the Bank of Japan cautious and unwilling to rule out further hikes.

Flash PMIs are also released tonight and are expected to fall sharply – especially in manufacturing, due to the sharp energy price increase.

USD/JPY rebounded sharply on Friday, and we think 160.0 can easily be broken in the coming days. That was probably the line in the sand for FX interventions before the war, but there is an obvious disincentive to intervene in a volatile market.

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Watch: Why we still think EUR/USD can reach 1.20

One of the biggest questions we get from clients is how we can be so constructive about the euro, despite what's going on with Iran, the US, and the subsequent oil and gas shocks. ING's Francesco Pesole explains our FX team's thinking.

Read more in our latest FX Talking [here](#)



Why we still think EUR/USD can reach 1.20

We still think, despite everything, that the euro can rise to 1.20 against the dollar this year. Our FX Strategist, Francesco Pesole, says our team believes the Fed will look through this inflationary 'bump' driven by rising oil and gas prices and will cut rates twice again this year. And that will have an amplified effect on EUR/USD for several reasons. And while oil prices are set to remain elevated, we don't see the same risks for gas in Europe. So, the euro may trade lower in the short term, but should recover fairly strongly.

[Watch video](#)

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THINK Ahead: Opening the rate-hike Pandora's box could unleash fresh turmoil

Central banks are flirting with rate hikes, and markets have gone crazy. Memories of the 2022 inflation battle are clearly still fresh. Yet talking about rate rises is one thing, delivering them is quite another, and they could win the 'wrong' inflation fight. The bar is higher than markets think, says James Smith, as we look ahead to next week



Pandora unleashed the world's evils. We might be stretching this a bit

Why rate hikes risk winning the wrong inflation fight

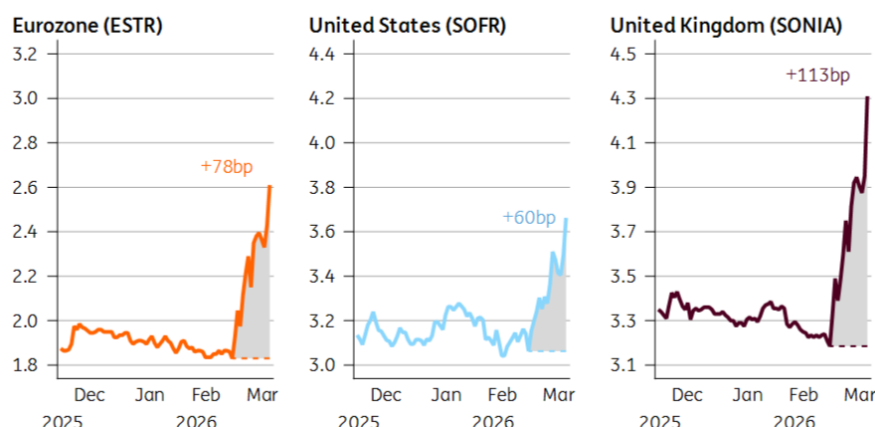
This was the week when central banks gave an inch on rate hikes, and investors took a mile. As far as markets are concerned, Pandora's box is open; the path to higher interest rates is set.

Just look at the chart. One year from now, interest rates are priced more than half a percentage point higher than they were pre-war in both the US and the eurozone – and considerably higher still in the UK. Three hikes or more are priced from both the ECB and the Bank of England by year-end.

Markets have repriced interest rates dramatically higher

Implied one-month rate in one year (1Y1M swap)

Change since 27 February



Source: Macrobond, ING

Data as of 19 March close

That says as much about markets as it does central banks. Positioning and liquidity are exaggerating the story. My Rates Strategy colleagues [caution against](#) taking market pricing entirely at face value.

Yet central banks were unquestionably hawkish this week. And it didn't have to be that way.

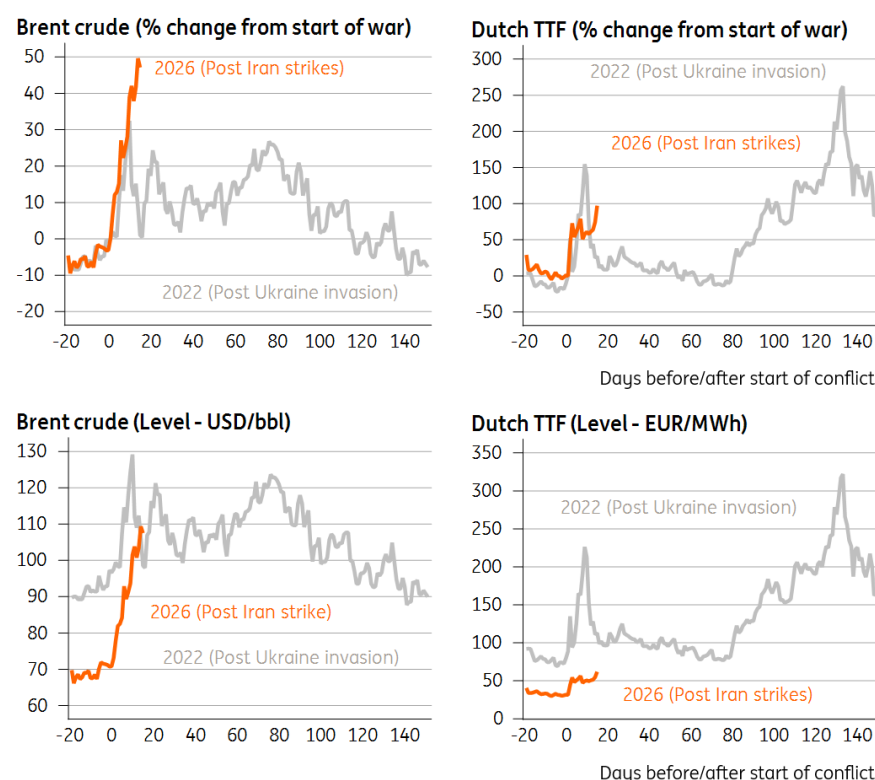
Officials could have simply said that the situation is uncertain, that nobody knows how long the disruption will last, that they're being vigilant and will see where the dust settles by the next meeting. And left it at that.

But policymakers went out of their way to burnish their rate-hiking credentials. [Fed](#) Chair Jerome Powell expressed his mounting frustration that inflation has been above target for five years now. In Britain, even the arch-doves, who until a month ago were ardent rate-cutters, were out [floating the possibility](#) of rate increases. And over in Frankfurt, the [ECB hawks](#) are on the airwaves actively talking up the chances of an April hike.

Above all, this tells us the painful memories of the last inflation spike are playing a key role in policymaking right now. Speak to many central bankers, and they will tell you both that they were too late to hike rates back then, and too quick to cut them when inflation started coming down.

That is not a mistake they want to make again. And to be fair to them, the percentage change in energy prices has now eclipsed the immediate fallout of the 2022 Ukraine invasion. That is what matters for inflation, even if, in level terms, things aren't looking quite so dramatic, at least on natural gas. The missile strike against [Qatari LNG facilities](#) – and the reportedly lengthy repair times involved – may well have influenced the tone of the ECB/BoE decisions.

2022 vs 2026: How the spike in energy prices compares



Source: Macrobond, ING

The central question that policymakers need to answer is this: *Will higher energy prices drive up core inflation?* That is what will determine whether they can "look through" the Middle East crisis or not.

Evidently, one big concern among officials is that the higher prices go, and the longer they stay high, the more likely it is that the inflationary impact snowballs. The relationship between energy prices and areas like food and services inflation is not necessarily linear.

Firms can weather short-term price fluctuations in their margins, but not forever. And the higher inflation goes through the second half of the year, the greater the impact on next year's annual price resets. Think of your internet or phone bills, for instance, that might explicitly be indexed to prior rates of inflation. Something similar is true of collective bargaining discussions in Europe.

That kind of thing risks making the whole inflationary episode longer-lasting – and if you listen to Bank of England Chief Economist Huw Pill, we're probably close to the inflection point. He's previously argued that when inflation hits 4%, it's statistically much more likely to stay high for a prolonged period. And by [my reckoning](#), if energy prices are sustained at today's levels (a big if), it just about gets us there.

That's the fear, anyway. Personally, I just don't buy it.

Central banks are concerned about rising inflation expectations. And rise, they will. Ask any consumer where they think inflation is going, when they can see their petrol prices rising, and surprise! They will tell you it is going up.

But that makes no difference whatsoever if consumers (and businesses, for that matter) can't act on that information. In an environment where vacancy rates are dramatically lower than when the last energy shock hit, workers simply don't have the same power to seek faster pay rises. Nor, in many cases, do companies possess the power to materially pass on higher energy costs, either.

If that's the case, then those firms are much more likely to deal with higher costs by cutting staff. And remember, the whole "non-linear" argument applies just as much to the jobs market as it does inflation. Job losses, once they begin at scale, have a habit of spiralling as economic demand weakens across the economy.

Something similar is true in financial markets: the higher energy prices and interest rate expectations go, the greater the risk that something breaks. And when that happens, the ripple effects can often be felt far and wide.

Central banks are naturally well aware of this – and said as much this week. The BoE, for instance, said explicitly that higher energy prices could necessitate rate cuts if the fallout is primarily through the jobs market.

Still, that won't stop central banks talking up the possibility of rate hikes over the coming days, in the hope words can do some of the work for them. Some of this is directed squarely at governments. ECB President Lagarde explicitly warned them to keep energy support "*temporary, targeted and tailored*". The message is clear: government support, of the likes we saw in 2022, will build the case for rate hikes. Spain is the first out of the traps today with VAT cuts on electricity bills.

Regardless of that, there may come a point, if this crisis worsens, where central banks feel they have no choice but to preserve their inflation-fighting credentials and tighten policy.

In our team's more extreme [energy price scenario](#), where oil averages 120 USD/bbl in Q2, we'd expect the [ECB to hike twice this year](#). The same is probably true of the BoE. Markets are certainly right about one thing: if the central banks do raise rates, they are unlikely to do so only once.

But it's a risky strategy. Central banks rightly need to avoid a re-run of the previous inflation overshoot. But in doing so, they risk fighting the last battle.

It's one thing to talk about rate hikes, quite another to deliver them. They are not our base case for the Fed, ECB or BoE just yet.

Ultimately, this is not 2022. The economy looks markedly different. And rate hikes may only compound the economic challenges coming down the track.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

- It is a very quiet week for scheduled data and events, but there will be plenty of Fed officials speaking to the media. Their "dot plot" continues to point to a 25bp rate cut this year and a further cut next year, but markets are increasingly concerned about stagflation risks from higher energy costs and ongoing supply distribution issues through the Straits of Hormuz.

We argue that the US is insulated from this to some extent relative to Asia and Europe, but is not immune to the issues. The longer the blockages last, the greater the concern about fertiliser, food and plastics prices.

- That said the Fed has a dual mandate - preserving price stability and maximising employment - and the second part is also facing greater challenges. If the jobs market was stalled when the economy was looking in decent shape before the Middle East conflict started, an overlay of heightened geopolitical, economic and market angst is not going to incentivise business to suddenly start hiring now. Hence why we still feel the Fed is more likely to cut than hike rates and that is the messaging we expect to hear from Fed officials.

United Kingdom (James Smith)

- **Inflation (Wed):** February's data, which is likely to show headline CPI unchanged and services inflation dipping back, is largely irrelevant at this point. Nor is the fact that inflation is set to dip close to 2% by April, given that it will take until the third quarter to see the full effect of higher natural gas prices on electricity bills. At this stage, we think the BoE is headed for a prolonged pause.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Retail sales (Mon):** Retail sales remain the bright spot of Poland's economy in early 2026. While industrial production was stagnant and construction nose-dived amid harsh weather conditions in the first two months of this year, the cold winter even boosted garment sales in January. We believe that the positive trends in durable goods demand observed in recent quarters were sustained in February. March should indicate how resilient consumer demand is to uncertainty and higher gasoline prices triggered by the outbreak of military conflict in Iran. Deterioration in March consumer confidence indicators suggests that this new shock may pose some risks to consumption ahead.

Hungary (Peter Virovacz)

- **Rate setting meeting (Tue):** Governor Varga's words from the February NBH rate setting meeting, 'this is not a rate cut cycle', aged pretty well. Eventually, it has aged too well. On 24 March, we saw the NBH turn into a hawkish currency defender, eventually closing the door on easing for now, but citing maximum flexibility to keep inflation on track and calm investors. We now anticipate only one more rate cut in 2026 as our base case scenario. If our 'long war' alternative scenario materialises, we see no room for a rate cut this year.

Czech Republic (David Havrlant)

- **Confidence (Tue):** Czech consumer confidence likely weakened in March, continuing its descent from last year's November peak. That said, the index remained at a relatively optimistic level, supported by lower energy bills and solid economic growth. However, the rising unemployment rate and the onset of the Middle Eastern conflict weigh on consumer sentiment. The outlook of higher oil and natural gas prices, along with potential disruptions to supply chains, also cooled the business sentiment in March, despite the recent stabilisation in manufacturing.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
Monday 23 March				
Eurozone	1500	Mar Consumer Confidence Flash	-	-12.2
Tuesday 24 March				
US	1215	ADP Employment Change Weekly (000s)	10	9
	1345	Mar S&P Global Manufacturing PMI Flash	-	51.6
	1345	Mar S&P Global Services PMI Flash	-	51.7
	1345	Mar S&P Global Composite PMI Flash	-	51.9
Eurozone	0900	Mar HCOB Manufacturing PMI Flash	-	50.8
	0900	Mar HCOB Services PMI Flash	-	51.9
	0900	Mar HCOB Composite PMI Flash	-	51.9
Germany	0830	Mar HCOB Manufacturing PMI Flash	49.5	50.9
	0830	Mar HCOB Service PMI Flash	52.5	53.5
	0830	Mar HCOB Composite PMI Flash	52	53.2
France	0815	Mar HCOB Composite PMI Flash	-	49.9
UK	0930	Mar S&P Global Composite PMI Flash	-	53.7
	0930	Mar S&P Global Manufacturing PMI Flash	-	51.7
	0930	Mar S&P Global Services PMI Flash	-	53.9
Wednesday 25 March				
US	1230	Q4 Current Account (USD bn)	-310	-226.4
Germany	0900	Mar Ifo Business Climate	87.5	88.6
	0900	Mar Ifo Current Conditions	87	86.7
	0900	Mar Ifo Expectations	88.5	90.5
UK	0700	Feb Core CPI (YoY%)	3.2	3.1
	0700	Feb Services CPI (YoY%)	4.2	4.4
	0700	Feb CPI (MoM%/YoY%)	0.4/3.0	-0.5/3.0
Thursday 26 March				
US	1230	W 1 Initial Jobless Claims (000s)	215	205
Eurozone	0900	Feb Money Supply (YoY%)	-	3.3
Germany	0700	Apr GfK Consumer Sentiment	-25.6	-24.7
Italy	0900	Mar Consumer Confidence	96.8	97.4
Spain	0800	Q4 GDP (QoQ%/YoY%)	-/-	0.8/2.6
Norway	0900	Key Policy Rate	-	4.00
Friday 27 March				
US	1400	Mar Michigan Sentiment Final	53	55.5
UK	0700	Feb Retail Sales (MoM%/YoY%)	-/-	1.8/4.5
Spain	0800	Mar CPI Flash NSA (MoM%/YoY%)	-/-	0.4/2.3

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 23 March				
Poland	0900	Feb Retail Sales (YoY%)	7.8	4.4
	1300	Feb M3 Money Supply (YoY%)	9.6	10
Tuesday 24 March				
Poland	0900	Feb Unemployment Rate	6.1	6
Czech Rep.	800	Mar Consumer Confidence	105.2	107.6
	800	Mar Business Confidence	98.2	99.8
	800	Mar Composite Confidence	99.4	101.1
Hungary	1300	Mar Hungary Base Rate	6.25	6.25
Wednesday 25 March				
Russia	1200	Feb Industrial Output	2.8	-0.8
Friday 27 March				
Hungary	0730	Feb Unemployment Rate	4.7	4.6
	0730	Q4 Current Account (EUR bn)	-0.14	0.9

Source: Refinitiv, ING

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Geopolitics alone isn't enough to lift gold

Geopolitical tensions continue to underpin gold, but recent price action shows they are not enough on their own to drive a sustained rally. Macro factors, particularly real yields, the US dollar and interest rate expectations, remain the key constraints on further upside

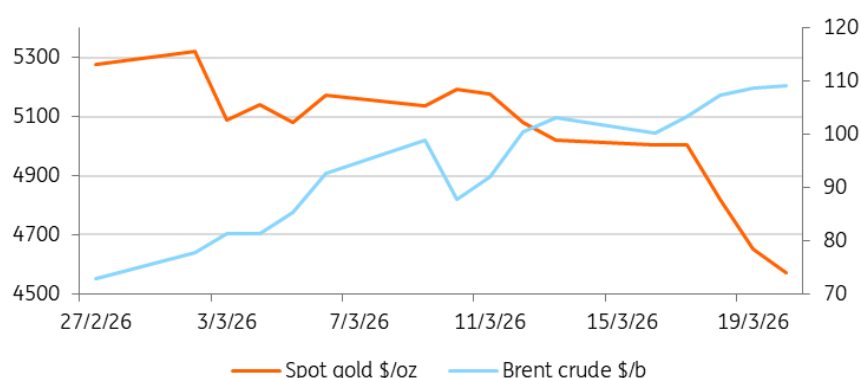


Gold prices have fallen since the Iran conflict started, highlighting that macro factors such as interest rates, the dollar and cross-asset positioning are driving price dynamics

Safe-haven demand has been overshadowed by higher energy prices, a stronger dollar and shifting rate expectations.

Higher energy prices pressure gold

Gold vs oil since the start of the conflict



Source: Refinitiv, ING Research

Macro forces outweigh geopolitics

Despite the escalation of the Iran war, gold prices have fallen around 14% since the conflict began, highlighting how macro factors, particularly interest rates, the US dollar and cross asset positioning, continue to dominate short term price dynamics. This pattern is consistent with previous shock episodes, where liquidity needs tend to outweigh safe-haven demand in the early stages.

Gold's reaction in 2022 offers a useful reference point. Prices rose initially after Russia's invasion of Ukraine, but that move faded as the inflation shock fed through to rates, the dollar and investor flows.

More broadly, geopolitics alone rarely drives gold prices in a sustained way; what matters is how such shocks feed through to inflation, monetary policy and the dollar. In the near term, a stronger US dollar and gold's high liquidity can make it a source of funds during stress episodes.

Gold's safe haven performance: Ukraine vs Iran

Indexed at 100 at the start of each year



Source: Refinitiv, ING Research

Energy prices complicate inflation outlook

Rising geopolitical tensions have pushed energy prices higher, increasing the risk that inflation remains elevated and complicating the path for monetary easing. A higher for longer rate environment would keep real yields elevated, posing a headwind for gold. The Federal Reserve left rates unchanged this week, with Chair Powell stressing that further easing would require clearer progress on inflation, although our US economist still expects two 25bp rate cuts later this year, in September and December. That said, a stagflationary backdrop – slower growth alongside persistent inflation – would remain supportive for gold over the longer term.

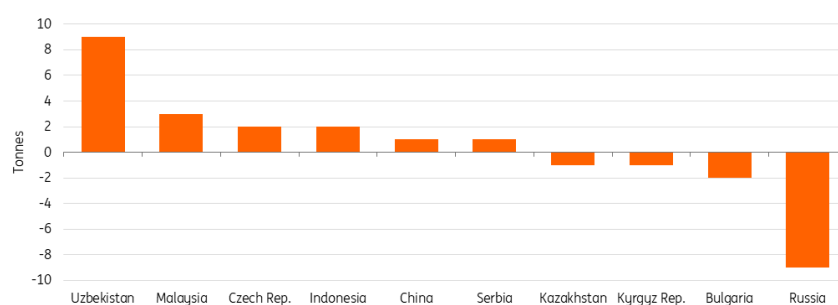
Central banks remain supportive, but buying may slow

Central banks continue to underpin gold demand, though the pace of buying has eased. World Gold Council data show net purchases of 5 tonnes in January, well below the 2025 monthly average of 27 tonnes, reflecting softer momentum at the start of the year. The flow mix nevertheless points to continued structural interest, with purchases by Uzbekistan offset by sales from Russia, while new buyers such as Malaysia and a potential return from Bank of Korea suggest a gradual broadening of the demand base.

That said, while official sector demand remains structurally supportive, reflecting an ongoing shift in reserve management away from the US dollar, it is unlikely to drive short term price moves. Central banks could use price weakness to selectively add to reserves, but investment flows are still likely to dominate near term price action.

Central bank gold buying slows down in 2026

Central bank net purchases and sales in January

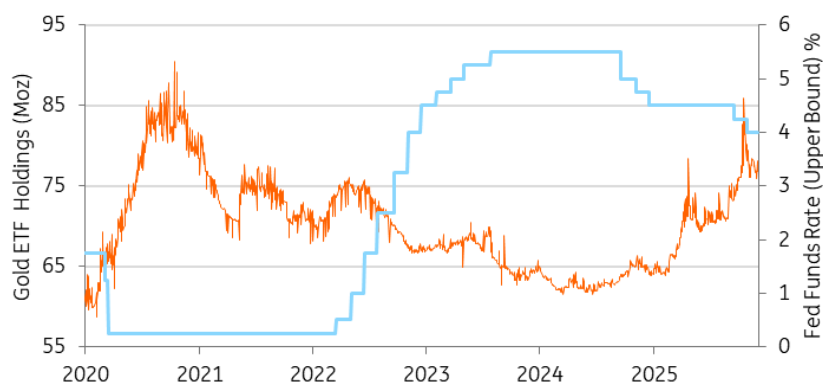


Source: World Gold Council, ING Research

ETF outflows weigh on gold prices

ETF flows remain a key driver of gold demand. Persistent outflows in recent weeks have weighed on prices, with holdings reversing much of this year's earlier gains since the Iran war began. Historically, ETF positioning moves closely with gold prices and expectations for US monetary policy. A shift towards Fed rate cuts later this year could trigger renewed inflows and support prices, while a higher for longer rate backdrop would likely keep ETF outflows as a headwind.

ETFs move closely with US monetary policy



Source: Refinitiv, ING Research

Outlook still constructive, but near-term risks have increased

We remain constructive on gold overall, though near-term risks have increased.

Gold is still up roughly 6% year-to-date, leaving the market vulnerable to bouts of profit-taking. However, any deeper pullback would likely attract buyers, particularly from central banks and longer-term investors.

Ultimately, gold's direction will depend less on geopolitical headlines alone and more on how those events shape inflation, monetary policy expectations and real interest rates.

For now, macro forces, not geopolitics alone, are driving gold prices.

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ECB makes a hawkish pivot at its March meeting

Rates have been kept on hold, but the European Central Bank has clearly opted for a hawkish pivot at today's meeting



ECB President Christine Lagarde at today's press conference in Frankfurt

Comments by European Central Bank President Christine Lagarde at the press conference gave today's meeting a more hawkish tilt. Even if a rate hike is not imminent, the change in tone and language acknowledges more uncertainty and is meant to demonstrate the ECB's willingness to act, if need be.

The fact that the well-known 'monitor closely' or 'closely monitoring' is back is a clear signal that the ECB has shifted to higher alert. In the past, the term 'monitor closely' had always been a sign of high alertness; the time it was used was during the short-lived banking tensions in March 2023 and before in 2022. In the distant past, 'monitor closely' was followed by 'vigilance' in the run-up to rate hikes. Following the logic of institutional ECB language, today's 'closely monitoring' combined with Lagarde's statement that risks to the inflation outlook were tilted to the upside are both clear signals of increased alertness.

New round of forecasts

Just for the record – though clearly not really relevant for future policy decisions despite a later

cut-off date than usual (March 11) – the latest round of ECB staff projections has GDP growth coming in at 0.9% in 2026, 1.3% in 2027 and 1.4% in 2028. Inflation is expected to come in at 2.6%, 2.0% and 2.1% over the next few years.

In this base case scenario, ECB staff treats the current oil price shock mainly as a one-off – and one that would hardly necessitate a monetary policy reaction. However, in two alternative scenarios ECB staff prepared, the monetary policy reaction could be different as both scenarios worsen the stagflationary impact.

In the adverse scenario, the impact on the economy would be temporary and part of the inflationary impacts unwind. Growth would be some 0.3ppt lower than the baseline in 2026 and 0.1ppt lower in 2027. Inflation would be 0.9ppt higher in 2026 but would come down quickly, pushing headline inflation 0.5ppt lower in 2028.

In the severe scenario, energy prices would have a stronger and longer-lasting effect, reducing GDP growth by 0.5ppt and 0.4ppt in 2026 and 2027 respectively. The eurozone economy would be in a technical recession in the summer of 2026. Inflation would also be much higher, e.g., 3ppt higher than the baseline in 2027.

Decoding the ECB's reaction function

We reflected on the ECB's reaction function to oil price shocks and how it has changed over time [here](#). During the press conference, Lagarde kept it vague, but reading between the lines suggested that the ECB is once again making a distinction between a supply-side and a demand-side shock. Stressing that the central bank would focus on commodity markets, potential supply bottlenecks, selling price expectations of firms, demand indicators and wage trackers, Lagarde gave the impression that the ECB would only start to react with rate hikes if and when higher energy prices and headline inflation would start to be passed through.

This is probably the most important lesson from the 2022 period: not that the ECB was too late to react to an energy price shock, but that it was too late to identify and to react to supply-driven inflation broadening to a fully-fledged and broad inflation problem.

On hold for now but rate hikes cannot be excluded

Looking ahead, an inflation wave is clearly in the making, from the direct impact of higher gas and oil prices on gasoline prices or retail energy prices next winter, to knock-on effects on transportation services, fertilisers and food prices. However, even a somewhat longer-lasting inflation overshoot does not have to be a concern. And, in fact, the only hurdle to calling this a typical supply side shock is the ECB's own institutional memory, its credibility as an inflation fighter and the fact that 'team transitory' turned out to be very wrong in 2022. It's obvious that 'transitory' has become a forbidden word at the ECB.

In a scenario in which the war in the Middle East and soaring energy prices remain limited in time, the ECB will talk like a hawk but not walk like a hawk – or, rather, fly like one. However, if energy prices stay high or higher for longer and find their way into other parts of the eurozone economy, the central bank apparently wouldn't shy away from rate hikes. Even though the bar for a rate hike seems to be higher than markets have currently priced in, given that the starting position for the ECB is currently very different from in 2022 (i.e., interest rates are higher), inflation and inflation expectations are much lower than in 2022.

All in all, a rate hike is not yet on the table, but today's meeting clearly marks a hawkish pivot.

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ING's updated forecasts amid energy disruption

Our economists and strategists have updated their forecasts to reflect the rapidly changing events in the Middle East and our new base case scenario



Oil tankers and cargo ships are being forced to reroute as the Strait of Hormuz is effectively blocked

Interim forecast update

The war in the Middle East continues, and the Strait of Hormuz is practically blocked. Our initial base case assumptions from our [March Monthly](#) regarding the war have become outdated. We are normally not in the business of permanently changing our forecasts, but given that our next Monthly Update is only due in April, and we think that these times currently require some guidance, we have updated our full set of [forecasts](#).

Three new scenarios

We have developed [three new scenarios](#) to guide our thinking and macro and market forecasts. In summary:

- **Scenario 1** (our new base case): Intensive combat will end within the next two weeks, but will be followed by lower intensity strikes that linger for several months. It's a scenario in which the opening of the Strait of Hormuz will take much longer than initially anticipated.

The 'end game' in this scenario could be a temporary ceasefire or tacit stand down with maritime escorts and exploratory talks on sanctions. Regime change over time is still possible, driven from the inside, as in East Germany in the late 1980s.

- **Scenario 2** (optimistic alternative): War ends surprisingly earlier than in our new base case scenario and the Strait of Hormuz opens up within a short period.
- **Scenario 3** (longer war): Longer combat action followed by protracted, lower-grade, impulsive confrontation. That would imply a much more uncertain situation in the Strait. In this scenario, the 'end game' could be a hard won ceasefire with third party guarantees (likely involving Russia or China), the possibility of sequenced sanctions relief, and a maritime security regime for Hormuz. However, even then, a durable peace could remain elusive, and the region might settle into a fragile, flare up prone equilibrium.

In short, our base case scenario does not foresee structural damage to an oil or gas production facility. We are facing a delay in energy and other shipments, but not (yet) a structural reduction. Needless to say, if a delay lasts long enough, it can still lead to these structural reductions. Generally speaking and for the time being, this is still mainly a supply-side shock, pushing up inflation and posing new challenges for central banks. As a result, the upward revision to our inflation forecasts is clearly larger than the downward revisions of growth, and they also differ across regions. What these new scenarios mean for our market forecasts can also be found [here](#).

Contact us directly to discuss more details of the underlying scenarios and their implications.

ING Global Forecasts

	1Q26F	2Q26F	2026 3Q26F	4Q26F	2026F	1Q27F	2Q27F	2027 3Q27F	4Q27F	2027F
United States										
GDP (% QoQ, ann)	3.1	2.4	1.8	1.9	2.5	1.9	2.0	2.0	2.0	2.0
CPI headline (% YoY, avg)	2.5	3.8	3.5	3.2	3.3	2.8	2.0	1.9	2.1	2.2
Federal funds (% eop)	3.75	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25
3-month SOFR rate (% eop)	3.70	3.70	3.50	3.30	3.30	3.30	3.30	3.30	3.30	3.30
10-year interest rate (% eop)	4.20	4.30	4.20	4.15	4.15	4.15	4.25	4.25	4.30	4.30
Fiscal balance (% of GDP)					-6					-6.1
Gross public debt / GDP					102.6					104.5
Eurozone										
GDP (% QoQ, ann)	0.7	0.6	1.0	1.5	0.9	1.6	1.6	1.5	1.4	1.4
CPI headline (% YoY, avg)	2.0	3.2	3.1	2.7	2.8	2.6	1.9	1.8	2.0	2.1
ECB Deposit Rate (% eop)	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00	2.00
3-month interest rate (% eop)	2.00	2.00	2.10	2.10	2.10	2.10	2.10	2.10	2.10	2.10
10-year interest rate (% eop)	3.00	3.00	2.95	2.85	2.85	2.90	3.00	3.00	3.10	3.10
Fiscal balance (% of GDP)					-3.6					-3.5
Gross public debt/GDP					93					93.9
Japan										
GDP (% QoQ, ann)	1.2	0.8	1.2	1.6	0.8	0.4	1.2	0.8	0.8	1.0
CPI headline (% YoY, avg)	1.7	2.4	2.4	2.3	2.2	2.6	1.8	1.8	1.6	2.0
Target rate (% eop)	0.75	1.00	1.00	1.00	1.00	1.25	1.25	1.25	1.50	1.50
3-month interest rate (% eop)	1.20	1.20	1.20	1.35	1.35	1.50	1.50	1.70	1.75	1.75
10-year interest rate (% eop)	2.25	2.50	2.50	2.60	2.60	2.75	2.75	2.85	2.85	2.85
Fiscal balance (% of GDP)					-4.6					-5.0
Gross public debt/GDP					230					228
China										
GDP (% YoY)	4.6	4.6	4.7	4.5	4.6	4.2	4.9	4.4	4.4	4.5
CPI headline (% YoY, avg)	0.9	1.1	1.4	1.3	1.2	1.6	1.1	1.1	1.1	1.3
7-day Reverse Repo Rate (% eop)	1.40	1.40	1.30	1.30	1.30	1.30	1.20	1.20	1.20	1.20
3M SHIBOR (% eop)	1.55	1.50	1.45	1.45	1.45	1.45	1.45	1.45	1.45	1.45
10-year T-bond yield (% eop)	1.85	1.90	1.95	2.00	2.00	2.00	2.05	2.10	2.15	2.15
Fiscal balance (% of GDP)					-5.3					-5.3
Public debt (% of GDP), ind, local govt					145					-
United Kingdom										
GDP (% QoQ, ann)	1.3	0.9	-0.1	0.8	0.6	1.5	1.5	1.5	1.5	1.1
CPI headline (% YoY, avg)	3.0	2.4	3.5	3.4	3.1	3.2	2.9	1.9	2.1	2.5
BoE official bank rate (% eop)	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	3.25	3.25
3-month interest rate (% eop)	3.50	3.20	3.20	3.20	3.20	3.20	3.20	3.20	3.20	3.20
10-year interest rate (% eop)	4.70	4.60	4.50	4.30	4.30	4.30	4.40	4.40	4.40	4.40
Fiscal balance (% of GDP)					3.6					3.1
Public sector net debt (FY, %)					96.1					96.4
EUR/USD (eop)	1.15	1.16	1.18	1.20	1.20	1.20	1.20	1.20	1.20	1.20
USD/JPY (eop)	158	158	155	153	153	150	148	147	145	145
USD/CNY (eop)	6.90	6.87	6.82	6.80	6.80	6.78	6.75	6.75	6.70	6.70
EUR/GBP (eop)	0.87	0.88	0.89	0.90	0.90	0.90	0.90	0.90	0.90	0.90
ICE Brent - US\$/bbl (average)	76	91	85	77	82	72	70	67	63	68
Dutch TTF - EUR/MWh (average)	39	50	38	38	41	34	28	27	30	30

Source: ING forecasts

GDP Forecasts

QoQ% Annualised (avg)										
	1Q26F	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
US	3.1	2.4	1.8	1.9	1.9	2.0	2.0	2.0	2.5	2.0
Japan	1.2	0.8	1.2	1.6	0.4	1.2	0.8	0.8	0.8	1.0
Germany	-0.5	1.1	1.8	2.2	1.8	2.6	2.5	2.5	0.8	2.2
France	0.6	0.4	0.4	0.6	1.2	1.4	1.6	1.2	0.8	1.0
UK	1.3	0.9	-0.1	0.8	1.5	1.5	1.5	1.5	0.6	1.1
Italy	0.3	0.4	0.9	1.3	0.9	0.6	0.8	0.6	0.7	0.8
Canada	1.8	1.5	1.4	1.6	2.2	2.0	2.1	2.0	1.1	1.9
Australia	2.3	2.2	2.3	2.2	2.5	2.5	2.5	2.5	2.3	2.5
Eurozone	0.7	0.6	1.0	1.5	1.6	1.6	1.5	1.4	0.9	1.4
Austria	1.0	0.6	1.2	1.8	1.8	1.6	1.6	1.4	0.8	1.6
Spain	1.9	1.1	2.0	1.5	2.1	2.1	2.0	2.0	2.1	1.9
Netherlands	0.9	0.9	1.5	1.6	1.4	1.5	1.1	1.0	1.4	1.4
Belgium	0.8	0.4	1.2	1.4	1.3	1.3	1.2	1.4	0.8	1.2
Greece	1.6	0.8	1.8	1.7	1.7	2.4	2.2	1.7	1.9	1.8
Portugal	1.7	1.3	1.6	1.7	2.0	2.0	2.0	2.0	2.1	1.9
Switzerland	1.2	0.6	0.8	1.2	1.2	1.6	1.6	1.2	0.5	1.2

Emerging Markets, (YoY% growth)										
	1Q26F	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
Bulgaria	3.1	2.8	2.7	2.5	2.5	2.5	2.5	2.7	2.8	2.5
Croatia	3.5	3.1	3.0	1.7	1.6	1.7	1.8	1.8	2.7	1.7
Czech Republic	2.5	2.8	2.7	2.8	2.8	2.8	2.7	2.7	2.7	2.7
Hungary	1.6	1.4	1.7	2.2	1.9	3.2	3.1	3.6	1.7	3.0
Poland	3.6	3.8	3.7	3.6	3.6	3.4	3.0	3.0	3.7	3.2
Romania	-0.7	-0.8	0.3	2.8	3.1	2.9	2.6	2.7	0.6	2.8
Turkey	3.2	2.8	3.6	3.8	4.4	5.5	5.2	4.9	3.4	5.0
Serbia	3.5	3.0	3.1	2.6	2.8	3.2	3.3	3.6	3.0	3.2
Azerbaijan	3.0	2.0	4.0	1.0	3.0	3.5	2.0	3.5	2.5	3.0
Kazakhstan	4.0	5.0	5.0	6.0	5.0	4.8	4.0	4.0	5.0	4.5
Russia	1.0	1.0	0.5	-0.5	0.0	0.5	1.0	1.5	0.5	0.8
Uzbekistan	6.5	6.3	6.0	7.0	6.5	5.5	6.0	6.0	6.5	6.0
Ukraine	2.1	2.6	2.5	2.8	3.2	3.4	3.5	3.5	2.5	3.4
China	4.6	4.6	4.7	4.5	4.2	4.9	4.4	4.4	4.6	4.5
India	6.5	6.6	6.8	7.0	6.5	6.5	6.5	6.5	6.7	6.5
Indonesia	4.8	4.9	5.0	5.0	5.0	5.0	5.0	5.0	4.9	5.0
Korea	2.4	2.4	1.5	2.3	1.8	1.8	1.9	1.8	2.2	1.8
Philippines	4.0	4.5	6.0	6.2	6.0	6.0	6.0	6.0	5.2	6.0
Singapore	4.5	4.0	3.0	2.0	1.8	1.8	1.8	1.8	3.4	1.8
Taiwan	10.2	7.4	6.9	3.1	4.0	4.6	5.0	5.1	6.7	4.7

Norway: Forecasts are mainland GDP

Source: ING estimates

CPI Forecasts

YoY% (avg)	1Q26F	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
US	2.5	3.8	3.5	3.2	2.8	2.0	1.9	2.1	3.3	2.2
Japan	1.7	2.4	2.4	2.3	2.6	1.8	1.8	1.6	2.2	2.0
Germany	2.2	3.2	3.2	3.0	3.0	2.2	2.1	2.1	2.9	2.3
France	1.1	2.4	2.2	2.3	1.9	1.1	0.8	1.5	2.0	1.3
UK	3.0	2.4	3.5	3.4	3.2	2.9	1.9	2.1	3.1	2.5
Italy	1.5	2.3	2.6	2.6	2.2	1.7	1.6	1.9	2.3	1.8
Canada	2.1	2.8	2.9	2.5	2.1	1.7	1.8	2.0	2.6	1.9
Australia	3.7	3.7	3.2	3.2	3.0	3.0	3.0	3.0	3.5	3.0
Eurozone	2.0	3.2	3.1	2.7	2.6	1.9	1.8	2.0	2.8	2.1
Austria	2.3	2.7	2.6	2.3	2.2	1.9	1.8	2.0	2.5	2.0
Spain	2.6	3.3	2.8	2.6	2.2	2.2	2.1	2.1	2.8	2.1
Netherlands	2.3	2.5	3.0	3.1	2.6	2.3	1.7	1.6	2.7	2.0
Belgium	1.8	3.4	3.3	3.0	2.8	2.0	1.9	1.9	3.0	2.2
Greece	3.1	3.5	3.6	3.1	2.7	2.0	2.2	2.2	3.3	2.3
Portugal	2.2	2.9	2.6	2.4	2.0	2.0	1.9	1.9	2.5	2.0
Switzerland	0.4	1.1	1.0	0.7	0.6	0.6	0.8	0.8	0.8	0.7
Bulgaria	3.3	3.7	2.3	2.5	2.4	2.3	2.5	2.6	3.0	2.5
Croatia	3.8	4.1	3.3	3.2	2.4	2.6	2.7	3.1	3.6	2.7
Czech Republic	1.5	1.8	1.6	2.1	2.5	2.3	2.3	2.3	1.7	2.3
Hungary	1.9	3.4	3.6	3.9	4.0	4.2	3.8	3.4	3.2	3.8
Poland	2.5	3.6	3.7	3.3	3.1	2.2	2.0	2.3	3.2	2.4
Romania	9.7	10.4	6.0	5.4	4.2	4.1	3.9	3.7	7.9	4.0
Turkey	31.0	28.6	26.3	25.5	21.6	20.7	19.0	18.3	28.1	20.3
Serbia	2.6	3.0	2.6	3.4	3.3	3.5	3.8	4.2	3.0	3.8
Azerbaijan	5.8	5.5	4.9	4.6	4.3	4.5	4.7	4.9	5.2	4.6
Kazakhstan	11.8	11.0	10.3	10.4	10.0	9.3	8.6	8.1	10.9	9.0
Russia	5.9	5.4	4.8	5.3	4.5	4.8	5.3	4.7	5.3	4.8
Uzbekistan	7.4	7.1	7.0	7.7	8.0	7.7	7.6	7.6	7.3	7.7
Ukraine	9.2	8.5	7.5	7.0	6.5	6.3	6.1	5.7	8.1	6.2
China	0.9	1.1	1.4	1.3	1.6	1.1	1.1	1.1	1.2	1.3
India	3.0	3.7	4.1	4.3	4.5	4.8	4.8	5.0	3.8	5.0
Indonesia	3.0	2.3	2.5	2.5	2.5	2.5	3.0	3.0	2.6	2.5
Korea	2.1	3.0	2.5	2.1	1.8	1.3	1.9	2.2	2.4	1.8
Philippines	2.5	3.0	3.2	3.0	3.0	3.0	3.0	3.0	3.0	3.0
Singapore	1.6	1.8	1.9	1.8	2.0	2.0	2.0	2.0	1.8	2.0
Taiwan	1.4	2.6	2.5	1.9	1.5	1.3	1.4	1.4	2.1	1.4

*Quarterly forecasts are quarterly average; yearly forecasts are average over the year, HICP for Eurozone economies

Source: ING estimates

Oil and Natural Gas Forecasts (avg)

	1Q26F	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2026F	2027F
Brent (\$/bbl)	76	91	85	77	72	70	67	63	82	68
Dutch TTF (EUR/MWh)	39	50	38	38	34	28	27	30	41	30

Source: ING estimates

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Assessing Europe's Competitiveness as a Location for the Life Sciences Industry

Narrative report



CRA Charles River
Associates

March 2026

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Executive summary

Once a beacon of scientific excellence and a modern powerhouse in pharmaceuticals, Europe now risks further falling behind global peers, including China and the United States, which are outpacing Europe in attracting pharmaceutical investment, initiating more clinical trials and originating a greater share of novel pharmaceutical innovations.

Competitiveness has become a political and policy priority across sectors in Europe. The life sciences industry is one of Europe's most important strategic assets, delivering medical breakthroughs that are fundamental to Europe's health, economic stability, and security.

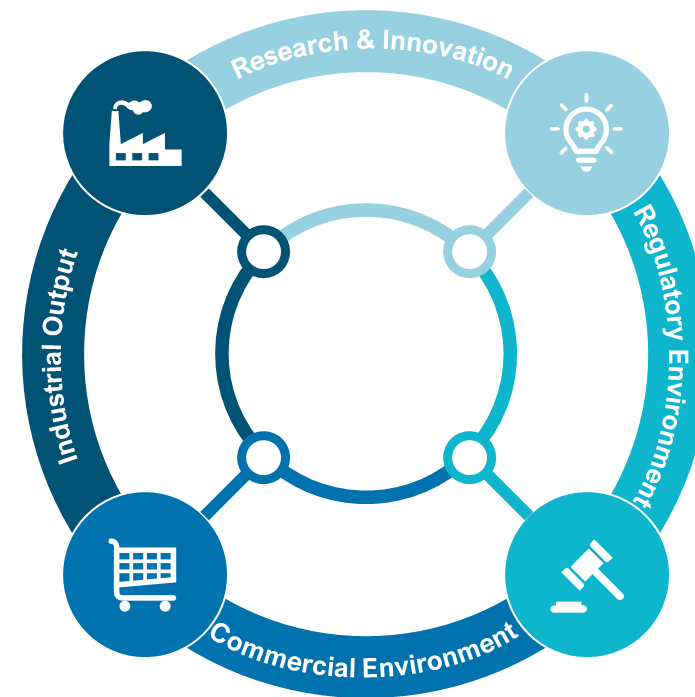
In the last two decades, Europe has experienced a decline in key drivers of competitiveness in the pharmaceutical sector. Without decisive actions to re-build a vibrant industrial ecosystem, this decline risks accelerating.

In practice, competitiveness in the life sciences sector is complex, shaped by a set of interconnected conditions. It is ultimately determined by how effectively it turns scientific capability into research and development (R&D) activities, which lead to approved products that reach patients and global markets at scale. The factors that drive life sciences competitiveness are many.

This report assesses the EU's life sciences competitiveness through this lens, focusing on four performance areas that most directly drive it: **research and innovation, the regulatory environment, the commercial environment, and industrial output.**

We compare the EU's attractiveness as a pharmaceutical investment location with that of global peers, including China, Switzerland, the United Kingdom (UK) and the United States (US).

Life sciences competitiveness is driven by four major performance areas.



Overall, the EU's strengths lie in the quality of foundational research and industrial resilience. Still, challenges in regulatory speed, IP incentives, and commercial environment risk diminishing its global competitiveness relative to peers.

Research & Innovation



- The EU performs strongly in scientific excellence (second only to the UK) and digital capabilities (though it trails the US).
- The region trails comparators in industry R&D investment growth rate, falls behind Switzerland in R&D incentives, and faces a growing gap in clinical trial attractiveness compared to China and the US. The EEA share of global trial starts declined by 50% between 2013 and 2023.
- Patent applications have grown modestly (6% over 2014–2024), but China's 170% surge highlights the EU's relative stagnation.

Regulatory Environment



- The EU is lagging in approvals of new active substances (NAS), declining 20% over the past decade (vs. China's 470% increase)
- EU's minimal use of expedited pathways (0% in 2024 vs. 53% in the US) is a pressure point.
- Regulatory approval timelines have improved (430 days in 2024, down from 464 in 2015) but remain longer than in China (390 days) and the US (356 days).

Commercial Environment



- The EU's performance in spending on pharmaceuticals is moderate at 1% of its GDP, compared to China (1.8%) and the US (2.0%)
- In terms of inward FDI, the EU performs moderately with €1.5bn in 2023, compared to China (€2.3bn) and the US (€4.3bn).
- The EU performs weakly in the launch of NAS (39% of global launches 2012–2021 vs. 85% in the US).
- Mandatory industry refunds, such as high clawback rates (up to 53% in some EU countries) compared to 0% in China, Switzerland, and the US, deter investments.

Industrial Output



- The EU excels here, with strong manufacturing investment growth (15% compound annual growth rate (2018–2022), surpassing China's 11%) and a persistent trade surplus, reflecting resilient supply chains and export capabilities. However, maintaining this position cannot be taken for granted in an increasingly competitive global landscape.

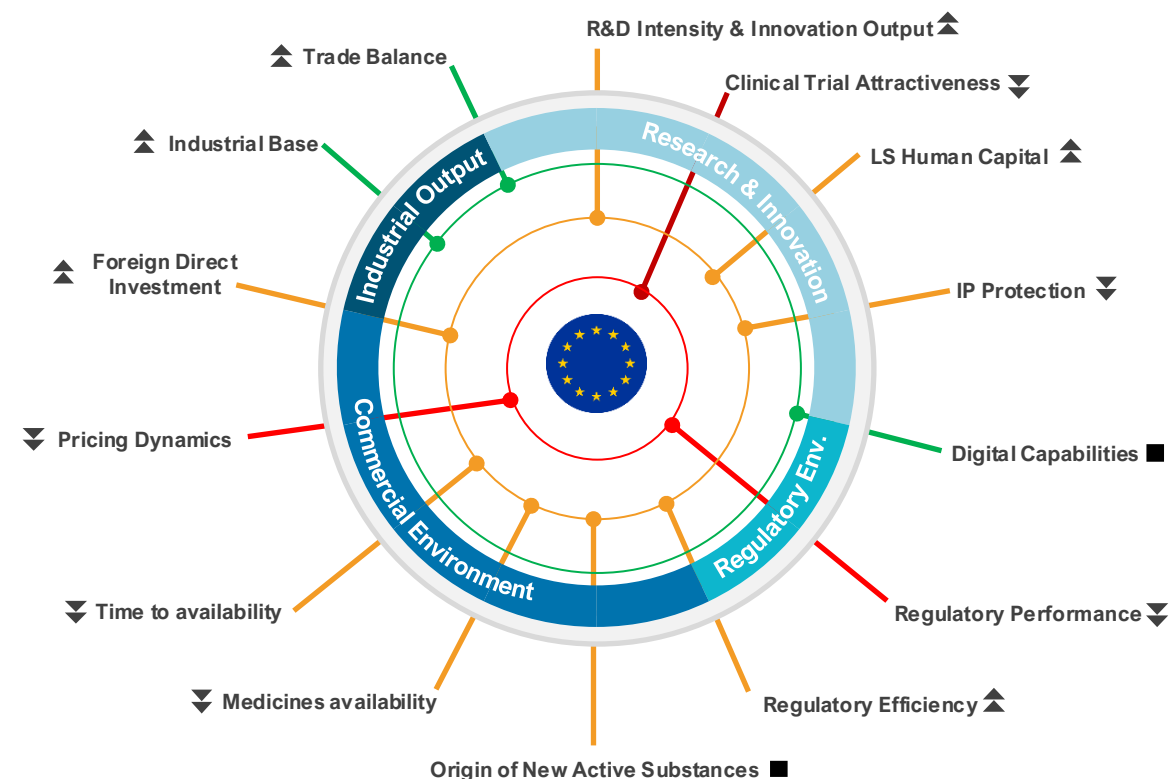
EU life sciences competitiveness at a glance

The EU retains deep scientific excellence, advanced digital capabilities, a strong industrial base, and high trade performance.

Yet, across the innovation pathway and uptake, the EU is ceding ground to the US and, increasingly, China – most visibly in the origin of new medicines, share of clinical trials, use of expedited regulatory pathways, as well as speed and breadth of medicines launches.

Europe's science and industrial base is an asset, but innovation conversion, as well as access breadth and speed, now define the EU's competitiveness gaps.

On those decisive metrics, the gap relative to the US persists, and the challenge from China is now unmistakable.



Key:

Performance (latest)

● Strong

● Moderate

● Lower

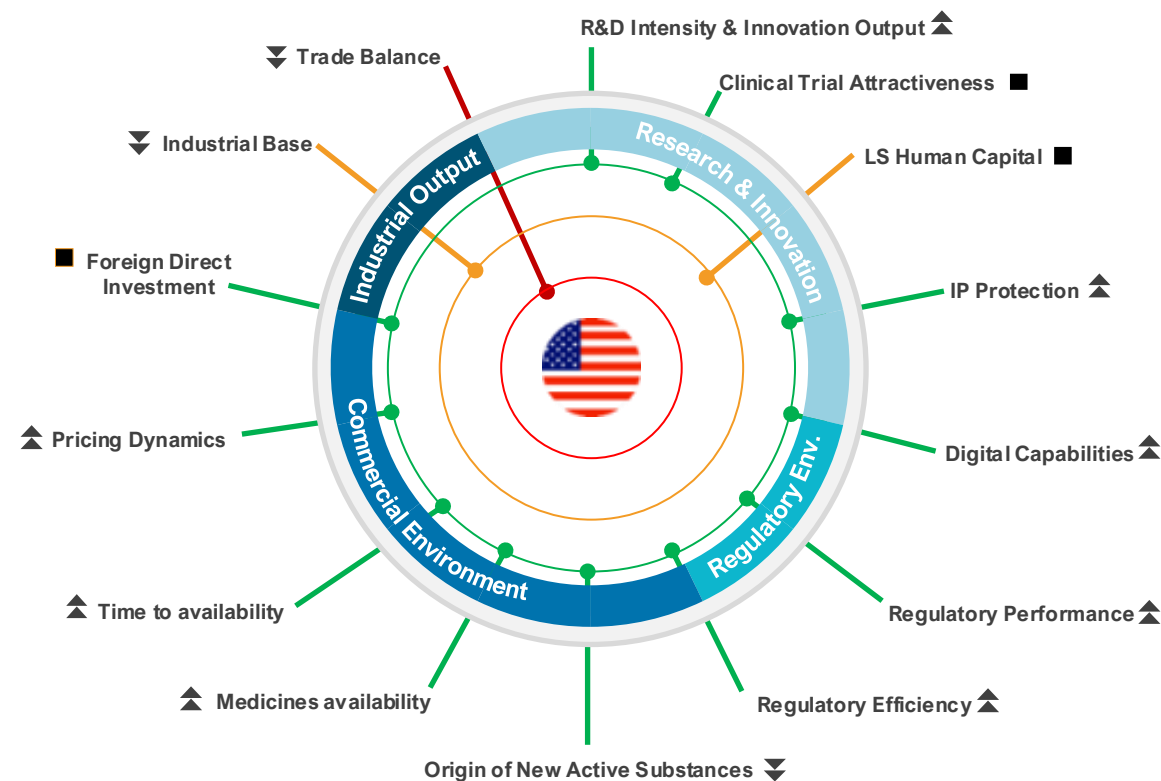
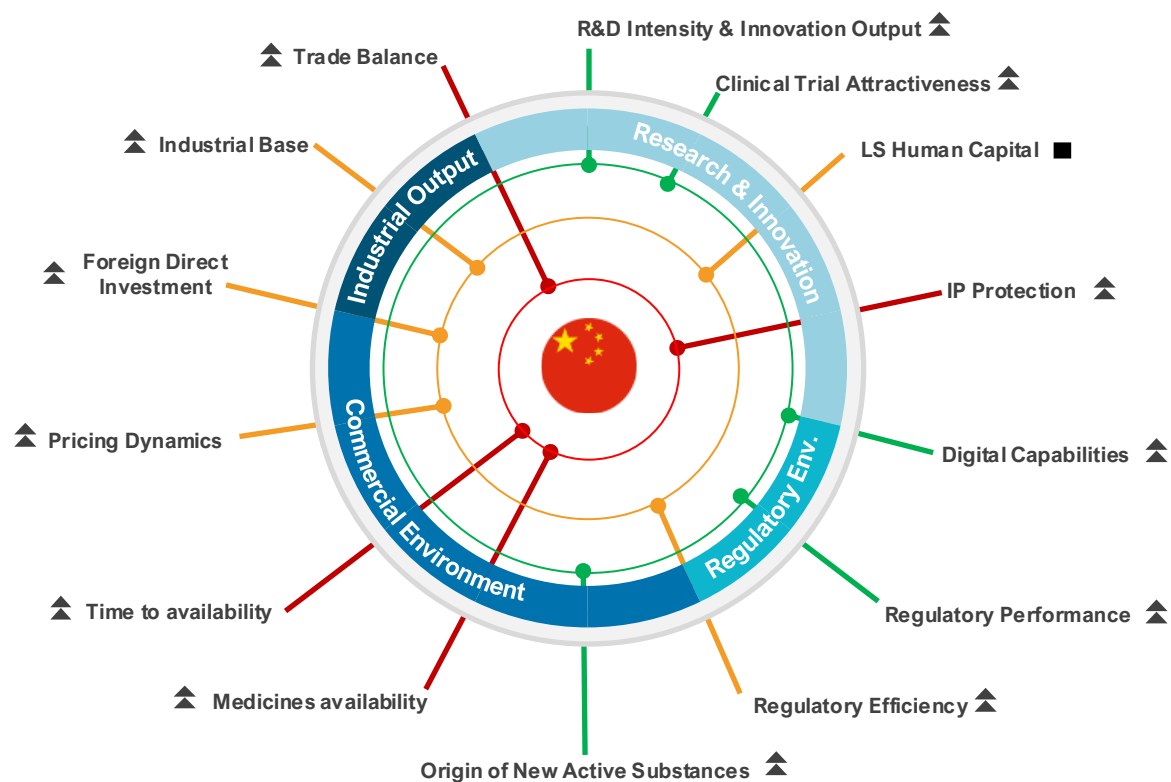
Trend (5-10 years)

▲ Improving

■ Flat

▼ Declining

China and US life sciences competitiveness at a glance



Key:

Performance (latest)

Trend (5-10 years)

● Strong

▲ Improving

● Moderate

■ Flat

● Lower

▼ Declining

The EU must act urgently over the next decade to strengthen its attractiveness relative to global leaders. Addressing weaknesses in key drivers of competitiveness could deliver significant gains in industry R&D investment, clinical trial activity, and the number of new active substances (NAS) originating in Europe.

Below are illustrative examples of closing the gap with global peers

 Closing the gap on industry R&D investment	 Closing the gap on the share of global clinical trial starts	 Closing the gap on the use of expedited review pathways	 Closing the gap on originating NAS
€105 billion <i>Additional industry R&D investment</i>	€17.9 billion <i>incremental total gross value added (GVA)</i>	200 new medicines <i>approved via expedited reviews</i>	100 medicines <i>originating from Europe</i>
- Closing the industry R&D investment gap with global peers would require the EU to attract more industry R&D investments than the current CAGR of 5.4%. - Growing at 8.5% CAGR, a rate higher than the US's (6.4%) but lower than China's (12.1%), could yield an additional €105bn worth of industry R&D investment in the EU over a 10-year period by 2035.	- To catch up with growth in China and North America in share of global clinical trial starts would require a 50% increase in activity compared to 2025 levels. - This would result in: - Nearly €18bn in the European economy. 82,000 new jobs. 158,000 more patients enrolled in clinical trials.	- The US is currently the leader in the use of expedited review pathways (59% of all approved NAS in 2024), many targeting areas of unmet medical need. - Closing this gap would result in at least 20 NAS per year approved via the expedited review pathway. - In 10 years, more than 200 NAS would have been approved using expedited review pathway in the EU – accelerating access for patients with limited or no treatment options.	- China currently leads in the share of NAS originated at 35% (28 NAS) in 2024, compared to 22% (18 NAS) in Europe. - Closing the gap with China would mean an additional 10 NAS developed in Europe per year, and at least 100 NAS over a 10-year period.

Introduction

Why this report?

Competitiveness has become a political and policy priority across sectors in Europe. The life sciences sector is one of Europe's most important strategic assets, delivering innovative medicines and vaccines that are fundamental to the long-term health and security of Europe.[1,2]

Once a beacon of scientific excellence and a modern powerhouse in pharmaceuticals, Europe now risks falling further behind global peers in research and innovation, where more ambitious, dedicated strategies are driving growth and outpacing Europe in attracting talent and cutting-edge developments.[1]

Europe stands at a pivotal crossroads amid a rapidly evolving global landscape. The acceleration of breakthroughs in biotechnology, personalised medicine, and AI-driven drug discovery is reshaping human health and economies alike. This, alongside intensifying geopolitical competition, supply-chain vulnerabilities, and widening gaps in scale-up capital, has raised a direct question for policymakers: can Europe convert scientific excellence into sustained leadership in innovation, investment, and patient impact?

In practice, competitiveness in the life sciences sector is a system outcome, shaped by a set of interconnected conditions: the ability to consistently generate breakthrough innovations, translate them efficiently into clinical and commercial products, manufacture and supply at scale, attract and retain talent and capital, and deliver timely patient access.

This report assesses Europe's life sciences competitiveness through that lens – focusing not only on research output, but on the full pathway from idea to impact. We compare the EU's attractiveness as a pharmaceutical investment location with that of four comparator countries: China, Switzerland, the United Kingdom and the United States. It draws on robust quantitative and qualitative analyses and insights to highlight where Europe is leading, where it is falling behind, and where targeted reform could unlock unrealised potential and improve Europe's competitiveness in life sciences.

This publication is expected to be updated periodically to support decision-makers who must balance multiple priorities to identify key policy interventions needed to realise Europe's competitiveness ambitions for its life sciences sector.

Comparator countries included in this analysis:



European Union (EU)



China (CN)



Switzerland (CH)



United Kingdom (UK)



United States (US)

Performance analysis:

Using publicly available information, we assessed the latest EU performance relative to global comparators, as well as performance trend over 5 -10 years, where data allow.

What factors drive life sciences competitiveness?

The factors that drive life sciences competitiveness are many. Ultimately, the competitiveness of the life sciences sector is determined by how effectively it turns scientific capability into approved products that reach patients and global markets at scale. This report frames that pathway through four performance areas that most directly drive life sciences competitiveness: **research and innovation**, the **regulatory environment**, the **commercial environment**, and **industrial output**.

Assessment framework

A set of indicators and sub-indicators under each performance area was used to assess country/regional performance

 Research & innovation	 Regulatory environment	 Commercial environment	 Industrial output
<i>R&D intensity</i>	<i>Regulatory performance</i>	<i>Origin of new active substance</i>	<i>Industrial base</i>
<i>Clinical trial attractiveness</i>	<i>Regulatory efficiency</i>	<i>New medicine launch</i>	<i>Trade performance</i>
<i>Life sciences human capital</i>		<i>Time to market (launch)</i>	
<i>Intellectual property protection</i>		<i>Pricing dynamics</i>	
<i>Digital capabilities</i>		<i>Foreign direct investment</i>	

Chapter 1: Research and innovation

A conducive research ecosystem is the starting point. Countries and regions that lead in innovation are those that not only create an enabling research environment to generate new ideas but also sustain a high-throughput innovation engine that moves efficiently from proof of concept to scalable development programmes, with mechanisms and incentives that protect intellectual property.

We assessed Europe's R&D performance against comparator countries across key performance indicators:

Key performance indicators



R&D intensity

- 1 R&D investment growth
- 2 R&D investment levers
- 3 Scientific excellence
- 4 Patent applications



Clinical trial attractiveness

- 5 Number of global commercial clinical trial starts



Life sciences human capital

- 6 Life Sciences talent



Intellectual property protection

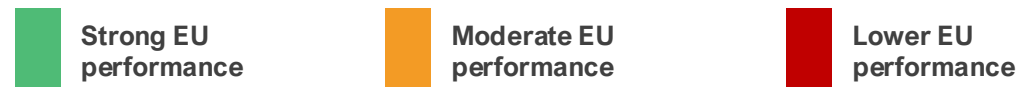
- 7 IP Index (IP protection strength)



Digital capabilities

- 8 Digital health maturity

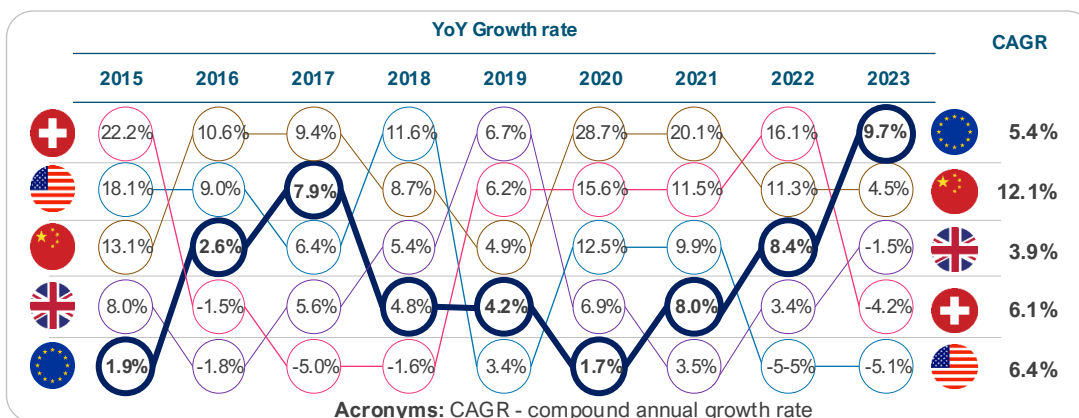
1. Annual R&D investment growth



The EU performs weakly in growth rate of R&D investment from local and foreign companies, with growth rate about half of that in the US and two times lower than China.

Key performance indicator					Source	Latest
Growth rate (CAGR) of R&D investment by national and foreign pharma companies [3-6]					EFPIA & ABPI	2023
1st	2nd	3rd	4th	5th		
12.1%	6.4%	6.1%	5.4%^	3.9%		

^EFPIA countries aggregate (excluding Switzerland and the UK)



NOTE: UK growth rates were derived from ABPI analysis of ONS 'business expenditure on research and development UK: 2024' available [here](#). Data prior to 2022 is based on estimates following a methodology change in how UK BERD data is collected.

Over the last decade, European pharmaceutical R&D investment has grown steadily, but at a pace that may not fully match global shifts.[3-7] Annual growth rates in R&D investment by national and foreign pharmaceutical companies from 2015 to 2024 reveal distinct regional trends, as measured by the CAGR.

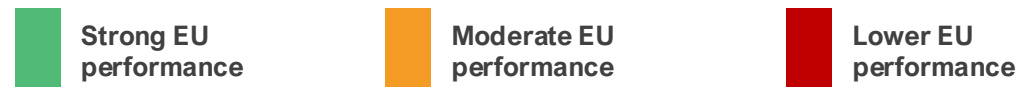
In EU countries, the CAGR is 5.4%, indicating steady growth. However, this pace falls behind growth rates in comparators. China exhibits the highest CAGR of 12.1%, followed by the US (6.4%) and Switzerland (6.1%). The lower growth rates in industry R&D investments in the EU highlight vulnerabilities in the EU's pharma ecosystem to attract investments.

The rapid acceleration observed in China, where investments surged notably in 2019 (28.7%) and 2020 (20.1%), reflects aggressive policy support for innovation and biotechnology. In absolute terms, the US is the global leader. R&D investments rose 65%, from €43bn in 2015 to €71bn in 2023, maintaining dominance, with expenditures nearly double those of the EU27.[3-6]

These trends have profound implications for the EU's pharma sector. Lagging growth relative to the US and China risks diminishing Europe's innovation leadership, potentially resulting in fewer breakthroughs in areas such as oncology and rare diseases.

While the EU's pharmaceutical R&D has grown reliably, sustaining global competitiveness cannot be taken for granted. In 2024, R&D investment growth in the EU was driven mainly by the health sector.[7] This demonstrates the sector's importance and the need for targeted policy measures to strengthen Europe's global standing and competitiveness.

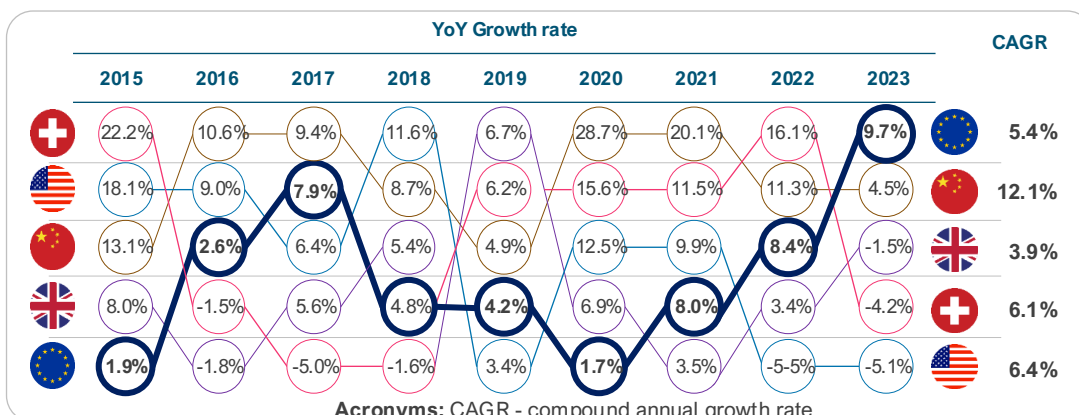
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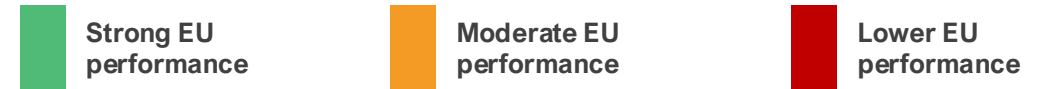
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2. R&D investment levers



The EU performs moderately in the number and value of R&D investment levers. The EU lags Switzerland and the UK in the number of measures, and China and Switzerland in terms of their value.

Key performance indicator				Source	Latest	
<i>Implied subsidy rate on R&D expenditure (range)* [8-12]</i>				EY & other sources	2023	
1st	2nd	3rd	4th	5th		
						
22% - 32%	13% - 22%^	12% - 27%	1% - 7%	0% - 1%		

*Simple benchmark comparison (large profitable firms). ^EU27 average

NOTE: Implied or assumed subsidy rate can vary within a country/region. Switzerland has historically not operated a federal R&D tax credit. R&D expenses are simply deductible as normal business costs, resulting in a neutral tax treatment. Switzerland instead incentivizes commercialisation of IP, not the inputs to R&D

There are 16 different types of R&D investment levers across countries [6]

Number of R&D investment levers available in comparator countries



R&D investment levers, such as tax credits and cash grants, are a core lever of competitiveness because they directly affect whether companies invest in long-term, high-risk research and where that investment is located.[12]

Based on the breadth of R&D support measures available, our analysis shows that the EU countries exhibit a relatively moderate level of availability, with an average of 6 instrument types per member state. [13] However, there is significant variation across the EU. This ranges from high performers such as the Netherlands (10) and Belgium (9) to lower performers like Romania (3).[13] Such diversity highlights the fragmented nature of R&D support in the EU. The EU's average (6) surpasses that of China (4) and the US (3), but trails Switzerland (8) and the UK (7).[13]

R&D tax credits or deductions are among the most commonly used investment levers across sectors as they play a decisive role in investment decisions. The value of R&D tax incentives (i.e., implied subsidy rate on R&D expenditure) widely varies across (and even within) countries. Data from OECD INNOTAX show that implied subsidy rate on R&D expenditures across the EU ranges from 0% to 39%.[20] R&D tax deductions typically range from 20% to 36% in high-signal EU member states, including France [14], Germany [15], and the Netherlands [16] In Switzerland, the R&D super-deduction (cantonal option) could be up to 50% [17], and up to 200% in China [18], making China and Switzerland more attractive for investment.

The EU, with an average implied subsidy rate of 16%, falls behind China (32%).[9-12,19,20,25] This, together with weakening EU incentive frameworks, particularly the reduction of the baseline RDP, may deter long-term investment. [27]

3. Scientific excellence



The EU performs strongly in the percentage of medical sciences publications which are amongst the most highly cited (top 1%) globally. Over the last decade, the EU has ranked only second to the UK on this performance indicator.

Key performance indicator					Source	Latest	
Highly cited papers published (% of total)* [28-30]					Multiple sources	2024	
1st	2nd	3rd	4th	5th			
2.1%	1.8%^	1.7%	1.3%	1.2%			

*Percentage of each country's medical sciences publications that are amongst the top 1% highly cited.

^Average of France, Germany, and Italy

The proportion of a country's (or region's) medical sciences publications that rank among the most highly cited globally (top 1%) serves as a key bibliometric indicator of research quality, scientific excellence, and impact in the health sector.

This indicator is highly relevant to pharmaceutical competitiveness, as it underscores the strength of a country's foundational research ecosystem, which is essential for driving pharmaceutical innovation.

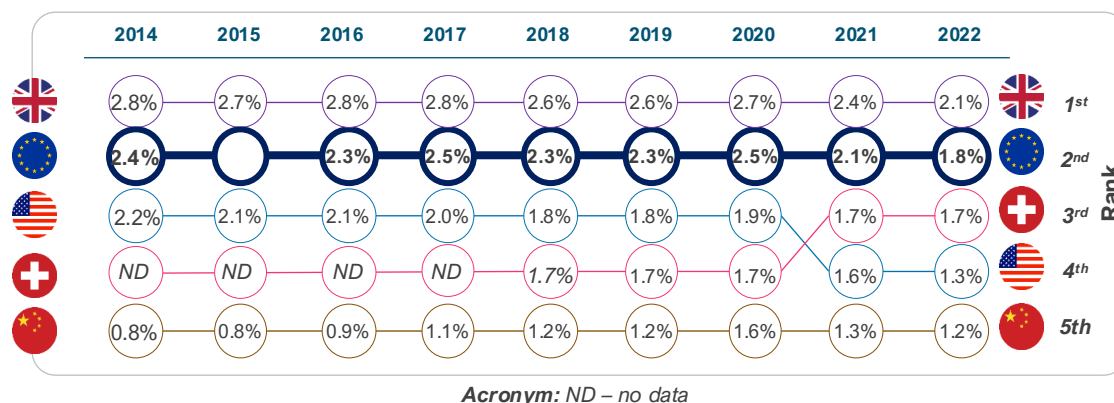
Relative to comparator countries, Europe's performance indicates resilience in research excellence, positioning it favourably against the UK and Switzerland—both renowned for high-impact outputs—and ahead of China and the US in terms of publication quality per output. [28-30]

Nonetheless, the trend over the last decade reveals a concerning reality: a 23% decline in performance in Europe between 2014 and 2022.

Although China lags comparators on this indicator, an interesting development is that it has increased by almost 50%, rising from 0.8% in 2014 to 1.2% in 2022. [30]

This demonstrates the scale of investment that drives China's transition toward scientific excellence and research impact.

If this trend continues, China is likely to overtake Europe soon, further eroding European competitiveness in research impact and scientific excellence.



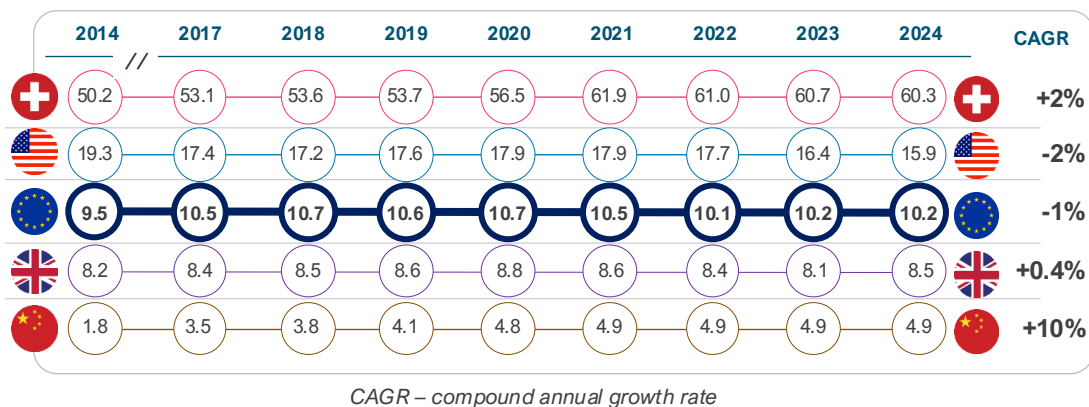
4. Patent applications



The EU performs moderately in terms of the number of patent applications relative to comparator countries. The share of global PCT applications from Europe has declined over the last decade.

Key performance indicator				Source	Latest	
Patent (PCT) applications per capita* [31]				WIPO	2024	
Rank	1st	2nd	3rd	4th	5th	
						
Per capita	60.3	15.9	10.2	8.5	4.9	
Total number	5,324	54,087	45,711	5,861	70,160	

*This is the number of PCT applications per capita (across all sectors). Population data retrieved from the World Bank



Patent activity is a critical driver of competitiveness, as it reflects a country's ability to generate, protect, and commercialise new technologies, and to attract investment in high-value, knowledge-intensive sectors.

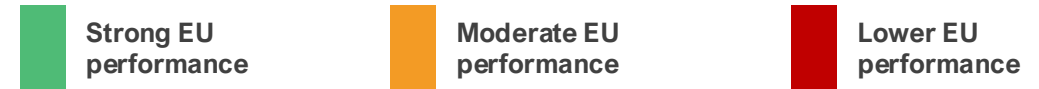
The number of Patent Cooperation Treaty (PCT) applications filed by entities within a country or region, therefore, serves as a widely used indicator of innovation performance (not specific to pharmaceutical or biotechnology sectors). Analysis of annual PCT filings from 2014 to 2024 indicates a **slower trajectory for EU countries** compared with global peers. [32]

In absolute terms, China (70,160) ranked first in 2024. China (58,990) overtook both the US (57,840) and the EU (54,040) in 2019. On a per capita basis, Switzerland leads, with an average of 56 applications per 100,000 population per year, compared with 18 in the US, 10 in Europe, and 4 in China.[17] Over the period, the EU recorded a CAGR of -1% per year, below China (10% per year) and Switzerland (2% per year), showing a relative decline.[31]

Sector-specific data shows a similar pattern in pharmaceuticals. According to the European Patent Office (EPO), pharmaceutical patent filings declined by 13% in 2024, even as total European applications increased slightly by 0.3%. [32]

If sustained, this trend could gradually weaken the EU's pharmaceutical competitiveness and long-term innovation capacity.

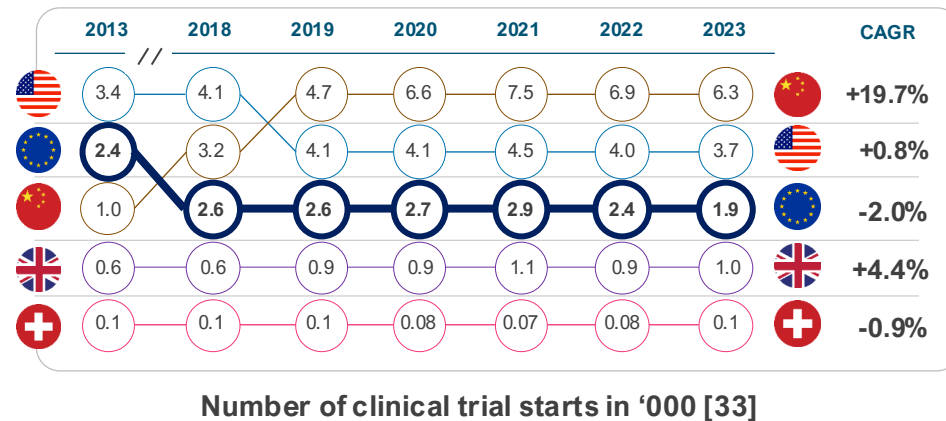
5. Clinical trial attractiveness



Europe is losing ground in attracting clinical trials compared to its global peers. The EU's share of global industry clinical trial starts declined by 50% between 2013 and 2023.

Key performance indicator				Source	Latest	
<i>Number of global clinical trial starts [33]</i>				IQVIA	2023	
1st	2nd	3rd	4th	5th		
			 *	 *		
6,392	3,747	1,978	1,025	101		

*This represents the number of commercial clinical trial starts only
US data represent the North America region. EU data represent the EEA region



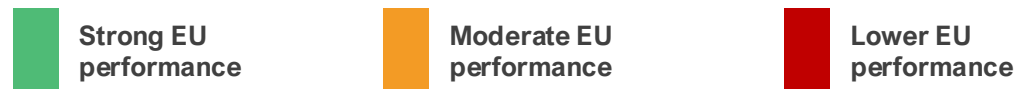
Clinical trial attractiveness refers to the extent to which a country or region is appealing to pharmaceutical sponsors for conducting clinical studies. This attractiveness is crucial for a country's competitiveness in the pharma sector, as it directly influences innovation, economic growth, and the country's global position within the industry.[3,33-35]

In the last decade, there has been a major shift in the geographic distribution of trials. In 2013, North America (including the US), the European Economic Area (EEA), and the rest of Europe (including Switzerland and the UK) accounted for 53% of global clinical trial starts (commercial and non-commercial). As of 2023, this figure stood at 33%. Over the same period, China's share increased from 8% to 29%, representing approximately 20% annual growth.[34,35]

Similarly, analysis of global commercial trial starts shows a similar trend. While EEA countries (except Spain) are losing share of global commercial trial starts, declining from 22% in 2013 to 12% in 2023, China continues to gain share, growing from 5% to 18% in that period.[34]

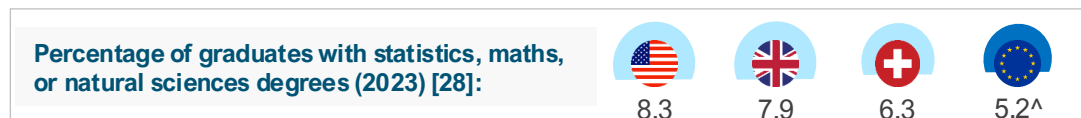
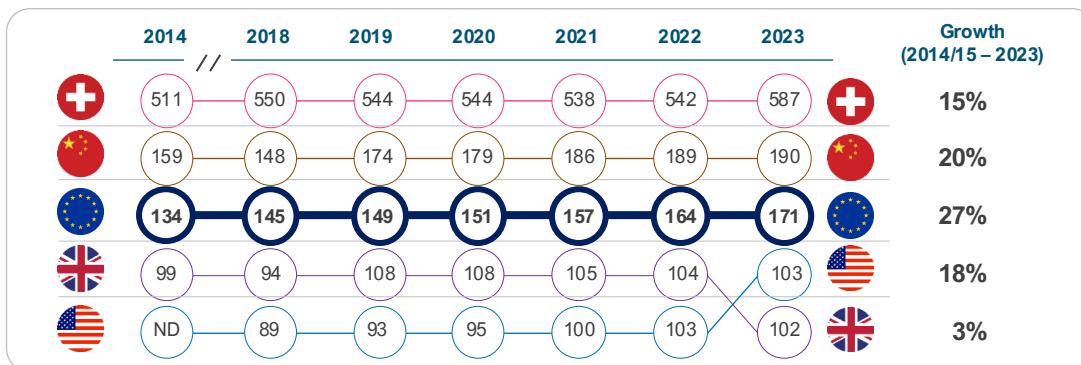
The rapid growth seen in China is not entirely surprising given its modernising society and market size. It is the worsening loss of market share in the EU that is concerning. Structural challenges, such as fragmented ecosystem and longer clinical trial start-up timelines have prevented the EU from growing to the level of opportunity that exists within the EU itself.[34] To strengthen its position as a global innovation leader, the EU should prioritise a more consistent implementation of the EU Clinical Trials Regulation and streamline processes for conducting multi-country trials.

6. Life sciences talent



Compared with comparator countries, EU countries perform moderately in human capital in the life sciences, as measured by the number of employees per capita in the pharmaceutical sector.

Key performance indicator					Source	Latest
Number of life sciences employees per capita (100,000 population) [3-7,36-37]					Multiple sources	2023
1st	2nd	3rd	4th	5th		
587	190	171 [^]	103	102		



[^]Aggregate of EU27 countries. ND – No data

Stock of human capital is an important driver of competitiveness in any sector.[38] A robust employment base fosters innovation by concentrating skilled professionals, such as scientists, engineers, and clinicians, who drive advancements in drug discovery, development, and manufacturing. Countries with high employment density in the life sciences sector are likely to attract higher levels of foreign investment if other competitiveness levers are in place. [38,39]

The EU27 demonstrated strong growth of 27%, rising from 134 to 171 employees per 100,000 population. This performance reflects collective advances across the EU in research, scientific excellence, and innovation, aimed at enhancing the sector's attractiveness.

In comparison, China achieved notable growth of 20%, elevating from 159 to 190, driven by substantial investments in biotechnology and pharmaceutical infrastructure amid its economic expansion.

Switzerland, already a leader in density, grew by 15% from 511 to 587, maintaining its position as a global hub for pharmaceutical giants and high-value research and development. The country's dynamism has been partly attributed to a powerful combination of world-class academic research, strong commitment to R&D, and a symbiotic relationship between academia and industry.[39]

Lastly, in terms of talent pipeline (graduates with natural sciences degrees), the EU falls behind comparators, with 5.2% compared to the US (8.3%).[40]

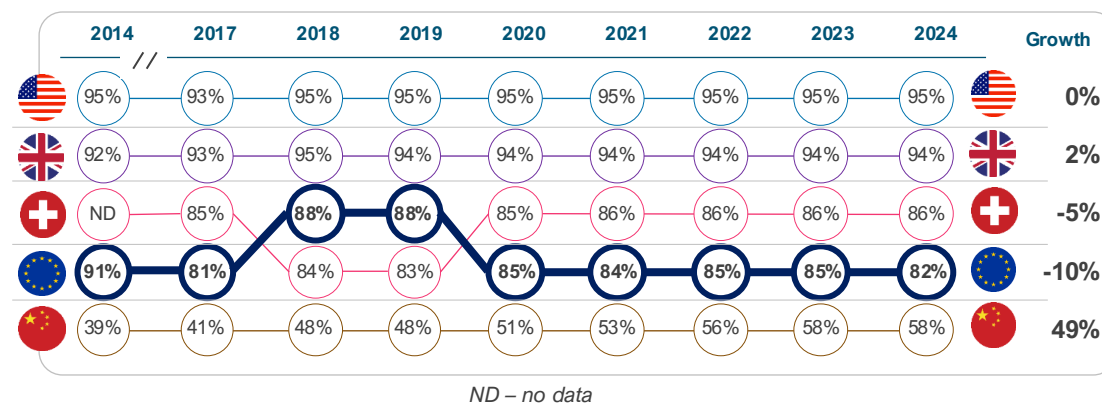
7. Intellectual property protection



Relative to comparators, the EU is a moderate performer in intellectual property protection, only better than China.

Key performance indicator					Source	Latest	
IP Index (IP protection strength) [41]					USCC	2024	
1st	2nd	3rd	4th	5th			
95%	94%	86%	82%^	58%			

^EU average (unweighted)



The U.S. Chamber of Commerce's International Intellectual Property (IP) Index provides a comprehensive annual evaluation of IP frameworks across global economies, assessing factors such as patent rights, copyright protections, enforcement mechanisms, and adherence to treaties.[41]

The EU demonstrates a robust IP framework, consistently achieving average scores in the 73–88% range from 2014 to 2024, but performs below its peers, falling behind the US, UK, and Switzerland.[41]

IP systems in the US, UK, and Switzerland are generally characterised by stronger enforcement, fewer limitations on patentability, and more comprehensive incentives to support innovation.[41]

In the pharmaceutical sector, the EU's IP competitiveness has remained relatively stable. However, in recent years, it has shown signs of decline (-10%), partly owing to harmonisation reforms that introduce uncertainties in regulatory data protection and supplementary protection certificates.[41,42]

While China lags other comparator countries in IP protection strength, its upward trajectory (growing 49% over the last decade) signals China's growing emphasis on IP as part of broader industrial strategies, potentially narrowing the gap with global peers if current trends continue.[27,41-43]

In sum, the EU's pharmaceutical IP regime is less competitive than many of its peers and is already signalling a decline. Maintaining robust IP protections is essential to strengthening its competitiveness.

8. Digital health maturity

Strong EU performance

Moderate EU performance

Lower EU performance

Similar to comparator countries, the EU is a strong performer in digital health maturity. The available dataset for this indicator is immature and warrants monitoring in the future.

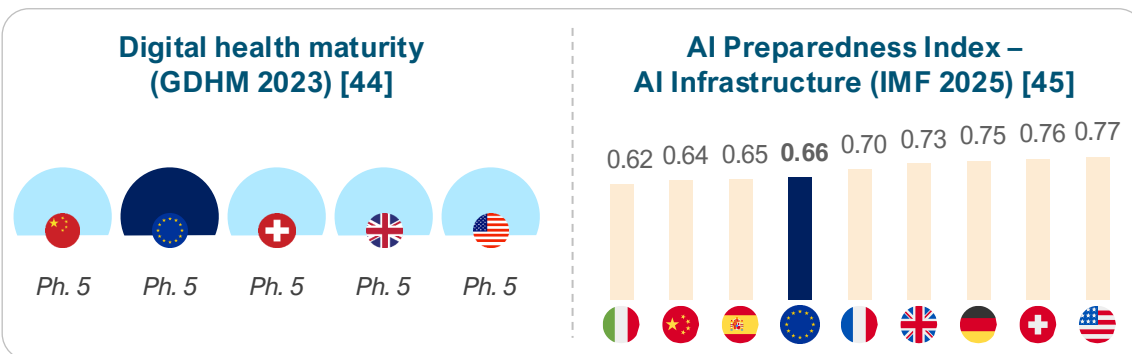
Key performance indicator	Source	Latest	
Digital maturity index [44]	WHO	2023	
Most EU countries and the four comparator countries are ranked at being at the highest phase of digital health maturity by the Global Digital Health Monitor in 2023			
The highest level of maturity is Phase 5, which signifies fully implemented, optimised, sustainable, and institutionalised systems that encompass advanced data governance structures and security, privacy, and device regulation, as well as robust infrastructure and scaled digital services.			

Digital health, including data and artificial intelligence (AI) capabilities, continues to revolutionise healthcare delivery. Pharmaceutical companies are leveraging digital tools and AI capabilities to enhance efficiency in R&D execution and business planning. This indicates that countries with these capabilities are likely to increasingly become competitive.

The Global Digital Health Monitor (GDHM) provides a recent assessment of digital health maturity across a set of pillars not limited to digital/data governance, investment, and infrastructure, among other indicators. In this index, countries are rated on a scale from Phase 1 to 5 for each pillar, based on their level of maturity. The latest index (2023) rated most EU countries (18 of 27) and comparator countries at Phase 5 maturity.[44]

In terms of AI infrastructure, the AI Preparedness Index (2025) developed by the International Monetary Fund ranks EU countries and comparators highly in AI capabilities, with the US (0.77) leading the way, ranking above other countries, such as Switzerland (0.76), the UK (0.73), China (0.64) and many EU countries, including Germany (0.75) and France (0.70).[45] The average across the EU is 0.66, much lower than in the US, indicating some competitive advantage for the US. Reports from countries such as Germany suggest a **lag in the digitalisation of pharmaceutical R&D** relative to the US. [46]

Other assessments of AI capabilities, such as AI commercialisation [47] and AI research ecosystem [48], show similar rankings, with the US on top. The US demonstrates advanced digital capabilities driven by an ecosystem in which digital and AI tools are deeply integrated into research and patient care.[49]



Chapter 2: Regulatory environment

The regulatory environment shapes both speed to market and investment confidence. Competitive systems combine rigorous standards with clarity, consistency, and modernised pathways suited to assess increasingly complex health technologies. A predictable, efficient, and innovation-friendly regulatory system enhances a country's competitiveness.

We assessed Europe's regulatory performance and efficiency against comparator countries across key performance indicators:

Key performance indicators



Regulatory performance

- 9** Number of new active substances (NAS) regulatory approvals
- 10** Proportion of NAS approved via expedited review pathways



Regulatory efficiency

- 11** Median regulatory approval timeline for NAS (days)

9. Regulatory performance – standard pathway

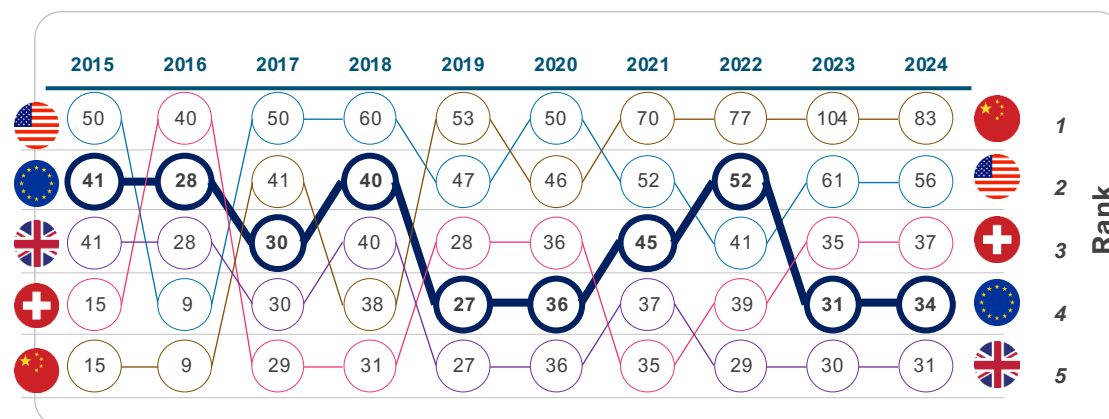
 Strong EU performance

 Moderate EU performance

 Lower EU performance

EU regulatory output has grown more slowly than key global comparators over the past decade. Over the same period, China's performance increased markedly, driven by a sharp rise in NAS approvals.

Key performance indicator				Source	Latest	
<i>Number of new active substances (NAS) regulatory approvals [50-57]</i>				Multiple sources	2024	
1st	2nd	3rd	4th	5th		
						
83	56	37	34	31		



NOTE: The EU and the UK shared the same regulatory mechanism prior to Brexit (2020).

The regulatory environment plays a pivotal role in determining a country's pharmaceutical competitiveness.

Jurisdictions with streamlined regulatory approval systems that facilitate timely market entry for pharmaceutical innovations, which in turn accelerates patient access and reduces development costs, are likely to attract greater private investments, thereby enhancing competitiveness.

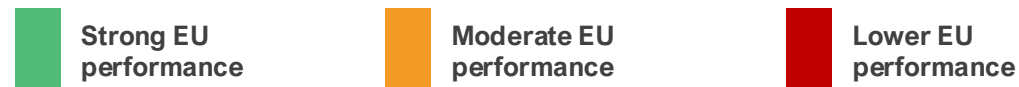
Number of new active substance (NAS) approvals is a good indicator of regulatory performance. Analysis of NAS approvals between 2015 and 2024 indicates that the EU's regulatory output has grown more slowly than that of some global peers over the past decade. Over this period, the EU recorded a relative decline of around 20% in NAS approvals compared with global comparators. [50-52]

Over the same period, China's performance improved by over 470%, from 15 approvals in 2015 to 83 in 2024, with a peak of 104 in 2023. [50-52, 56-61]

These trends do not reflect a lack of regulatory quality in the EU, but rather point to differences in system scale, resourcing, and the adoption of bold regulatory reforms in China.

As global R&D activity continues to expand, ensuring that the EU regulatory framework is adequately resourced and continuously modernised will be essential to support timely assessments, uphold high standards, and sustain the EU's role in global health standard-setting.

10. Regulatory performance – expedited reviews



Use of expedited review pathways differs across regions, with low uptake in the EU compared with global peers.

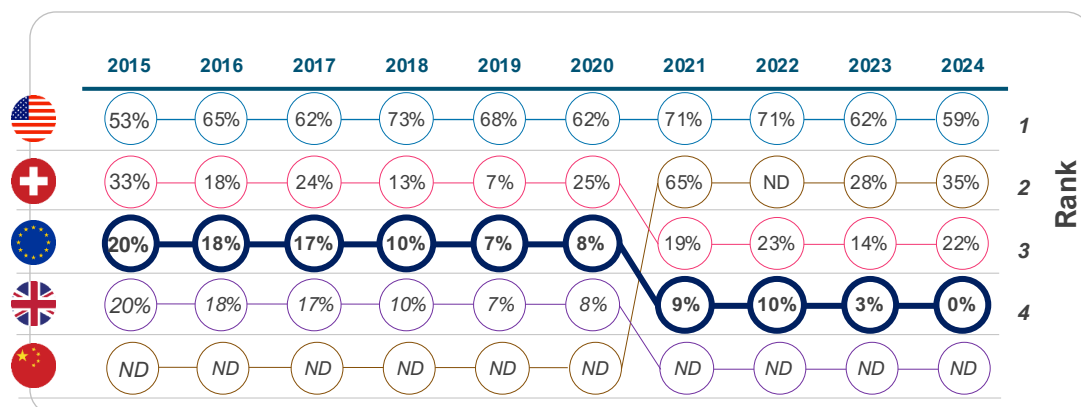
Key performance indicator					Source	Latest
<i>Proportion of NAS approved via expedited review pathways [50-52, 56-57]</i>					Multiple sources	2024
1st	2nd	3rd	4th	5th		
59%	35%	22%	0%	ND		

Expedited review pathways refer to ‘Accelerated Assessment’ by EMA (EU), ‘Fast Track’ by Swissmedic (Switzerland), and ‘Priority Review’ by the FDA/NMPA (US/China). These pathways are designed to expedite the evaluation and approval of pharmaceutical innovations.

Empirical evidence demonstrates that the EU employs expedited regulatory pathways significantly less frequently than global peers.[50-52,58-62]. In the last decade, the utilisation of expedited review mechanisms for regulatory approval of NAS within the EU declined from 20% in 2015 to 0% in 2024. By comparison, in 2024, expedited pathways accounted for 35% of approvals in China and 53% in the US.[50-52,58-62]

China’s recent regulatory reforms have played a crucial role in creating a robust end-to-end regulatory framework that aligns medicine approval processes with global standards.[61,63] In the US, expedited regulatory pathway tools are better interconnected; i.e., once a medicine receives Breakthrough Designation, it often receives Priority Review, Rolling Review, and Accelerated Assessment. In addition, the US has recently launched the FDA Commissioner’s National Priority Voucher to further expedite the evaluation of new medicines aligned with critical US national health priorities.[64]

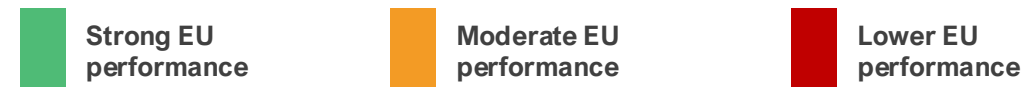
Whereas in the EU, expedited review is a complicated process. Sponsors must first apply for Priority Medicines Scheme designation, then reapply separately to receive Accelerated Assessment, and reapply again to receive Conditional Marketing Authorisation.[65] Simplifying procedures, while maintaining high regulatory standards, would strengthen the EU’s overall regulatory performance.



NOTE: The EU and the UK shared the same regulatory mechanism prior to Brexit (2020). ND – no data

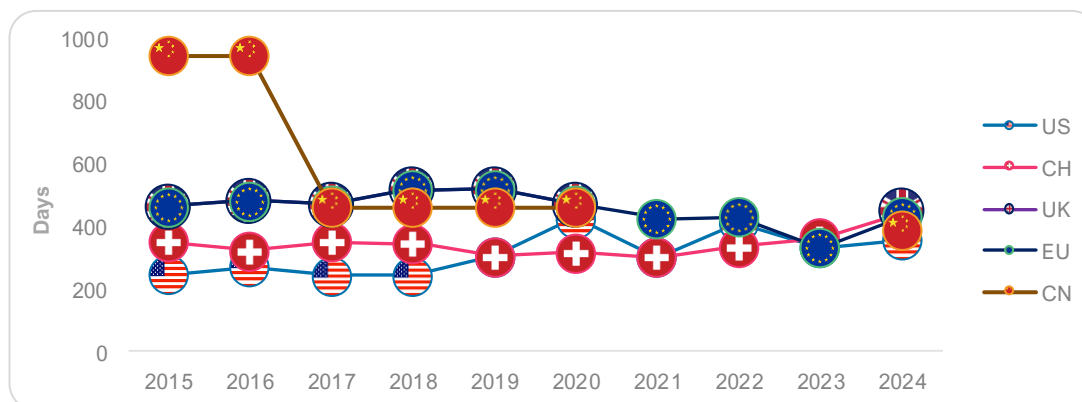
ND – no data

11. Regulatory efficiency – approval timeline



Regulatory speed has improved in the EU over the last decade, performing moderately relative to peers in recent years.

Key performance indicator					Source	Latest	
<i>Median regulatory approval timeline for NAS (days) [50-52,66]</i>					CIRS; ABPI	2024	
1st	2nd	3rd	4th	5th			
							
356	390	430	440	450*			



NOTE: The EU and the UK shared the same regulatory mechanism prior to Brexit (2020).

Regulatory speed is a key driver of competitiveness, as pharmaceutical sponsors are more likely to allocate resources to jurisdictions with predictable, expedited regulatory timelines.

Across jurisdictions, regulatory speed can be assessed using median approval timelines (from regulatory submission to regulatory approval).

Over the last decade, the EU's median approval timelines in the standard pathway declined, from 464 days in 2015 to 430 days in 2024, with a notable low of 333 days in 2023. [50-52]

However, the headline time-to-approval remains longer than that of China and the US. The median difference between China and the EU was ~40 days (430 vs 390 days), and ~74 days (430 vs 356) for the US vs the EU. Historically, the gap between the US and the EU has often been larger. [50-52]

While these trends suggest improvement in the EU's regulatory efficiency, the EU still lags behind global peers. The European Commission has proposed reducing standard assessment timelines to 180 days. This target is not yet a legal requirement until the legislation for the new EU Pharmaceutical package is formally adopted.[50-52]

Meeting this target will help narrow competitiveness and improve the EU's attractiveness to investors.

Chapter 3: Commercial environment

The commercial environment determines the extent to which innovation is funded and available to patients. Where commercial conditions are strong, companies often scale locally rather than relocating, and health systems adopt innovations without delay.

We assessed Europe's commercial environment performance against comparator countries across key performance indicators:

Key performance indicators



Origin of new active substances

12

Origin of regulatory-approved NAS (% of all NAS)



Medicine launch

13

Launch of new active substances (NAS) (% of all NAS)



Time to market (launch)

14

Median time from global launch to local launch (months)



Pricing dynamics

15

Cost-effectiveness thresholds for pricing and reimbursement

16

Pharmaceutical expenditure as a share of GDP

17

Mandatory industry refund rate on pharmaceutical revenues (%)

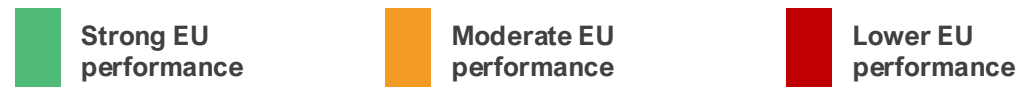


Foreign direct investment

18

Inward FDI in pharma (EUR)

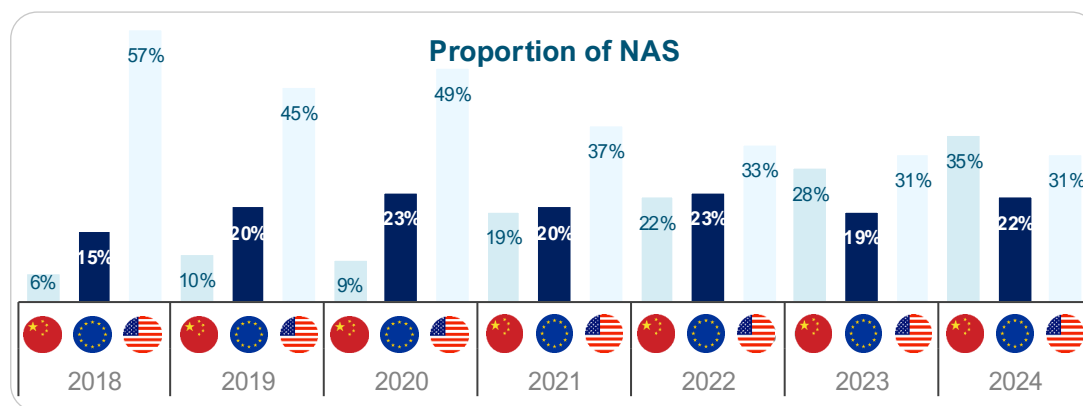
12. Origin of new medicines



Europe's performance in originating new active substances has remained broadly stable, while growth has accelerated in China and slowed in the United States.

Key performance indicator	Source	Latest	
Origin of regulatory-approved NAS (% of all NAS) [3-6]	EFPIA	2024	
1st	2nd	3rd	
China	United States	Europe*	
35%	31%	22%	

*This includes NAS originating from Switzerland and the UK as well.



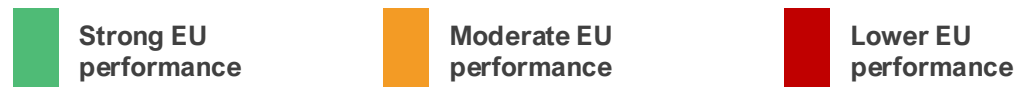
In the early 2000s, Europe accounted for the largest proportion of globally originating NAS. Over time, the distribution has evolved, with China increasing its contribution and a more mixed trend in the US.

Europe's performance (including Switzerland and the UK) has remained relatively stagnant from 2021 to 2024, fluctuating between 17 and 19 NAS annually. Data show that EU-headquartered firms launched only ~130 NAS in 2015–24, compared with ~257 by US firms, a stark difference in innovative output. [3-6] Europe's trajectory differs from that of the US, which has continued to originate a high number of NAS, averaging 24 to 35 per year. This performance is associated with its large, unified market and supportive ecosystem – including strong venture capital funding, a favourable reimbursement environment, fast regulatory pathways, and substantial public and private R&D investment.[67]

China has also recorded rapid growth in NAS origination in recent years, overtaking Europe in 2023 and exceeding both Europe and the US in 2024. Output increased from 4 NAS in 2018 to 28 in 2024. Over the period 2018–2024, China's growth rate exceeded that observed in Europe, reflecting sustained investment in research infrastructure, government support measures, improvements in IP protection, and the expansion of domestic biopharmaceutical capabilities. [3-6, 67,68] Furthermore, NASs originating from China are increasingly being launched in both the US and Europe.[56]

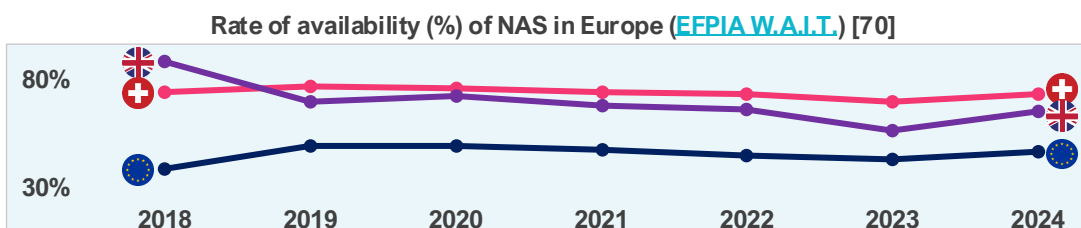
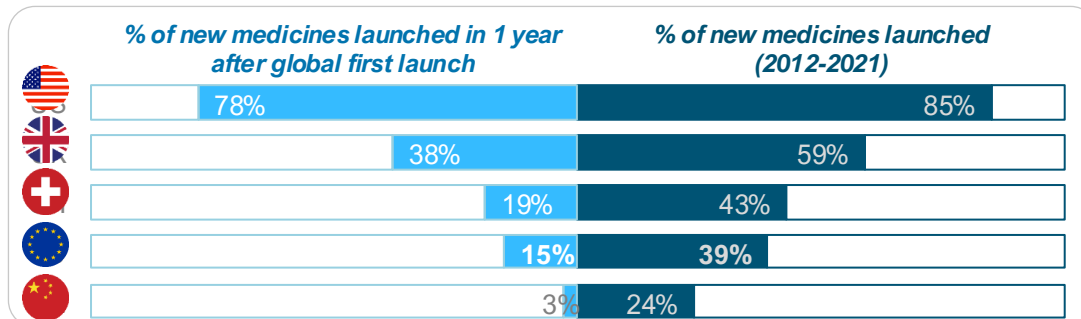
While Europe continues to originate a stable number of new medicines, strengthening the conditions that support innovation will be important to maintain its role in an increasingly competitive global landscape.

13. Medicine launch



The EU's performance is moderate in terms of the launch of new medicines, compared to the US and the UK.

Key performance indicator				Source	Latest	
Launch of new active substances (NAS) (% of all NAS) [69]				PhRMA	2021	
1st	2nd	3rd	4th	5th		
85%	59%	43%	39%	24%		



The launch of new medicines (i.e., new active substances) is a core indicator of pharmaceutical competitiveness because it captures how effectively a health system converts scientific innovation into commercial reality, patient access, and sustained investment.

An analysis of data on 460 new medicines launched globally between 2012 and 2021 shows that the EU lags all comparator countries except China.[69]

On average, EU countries achieved a launch rate of 39%, substantially lower than the US of 85%. When focusing on timeliness, the EU average for launches within one year of global first launch is 15%, compared with 78% in the US, 38% in the UK, and 19% in Switzerland.[69]

Disparities persist even among leading EU performers, such as Germany (61% launched overall and 44% within one year), compared to France (52% launched overall and 23% within one year). While Germany tops Europe, it remains well below US levels.[69] The EU's relative underperformance in launch speed jeopardises its competitiveness, capturing only 16% of NAS sales (2019 – 2023) in top markets compared to 67% in the US.[70,71]

A similar trend is observed in NAS availability (public reimbursement) **with wide variability within the EU**. In 2023, an average of 46% of NAS was reimbursed in the EU, lower than in Switzerland (73%) and the UK (65%).[70]

The EU's lagging performance in NAS launches and availability poses significant risks to pharmaceutical competitiveness, diminishing its role as a global innovation leader.[71]

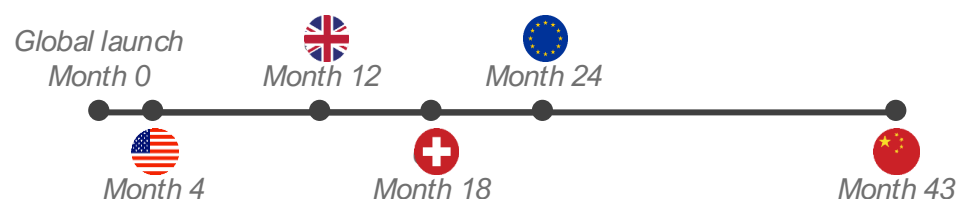
14. Time to market (launch)



Compared with peers, the EU performs moderately on the time to local launch of new medicines (NAS).

Key performance indicator				Source	Latest	
Median time from global launch to local launch (months) [69]				PhRMA	2023	
1st	2nd	3rd	4th	5th		

Average months from global first launch to local launch



The EU's performance on the time-to-launch of new medicines, measured as the average number of months between a new medicine's global first launch and its local launch, reveals notable disparities relative to global peers. The average delay in the EU stands at 24 months, though it widely varies across EU countries, **ranging from 128 days (4 months) in Germany to 840 days (28 months) in Portugal**. A similar trend is highlighted in EFPIA's W.A.I.T Indicator Survey.[70]

In comparison, the US demonstrates the shortest average delay at 4 months, enabling significantly faster access for patients. The UK and Switzerland follow with average of 12 and 18 months, respectively – both outperforming the broader European average. [69] The US consistently demonstrates superior performance in both the proportion of NAS made available and the speed of their launch, underscoring a regulatory and market environment conducive to rapid innovation deployment. The wide gap with the US underscores challenges to the EU's pharmaceutical competitiveness. Prolonged delays in the launch of new medicines may deter global investors from prioritising EU markets for initial launches, as seen in the US's dominance in global first introductions.

Fragmentation and slower access, with variations among member states, signal an unattractive environment. Such patterns disincentivise R&D investment within the EU, limit patient access, and erode the region's role as a hub for pharmaceutical innovation.[71]

To enhance competitiveness, the EU would benefit from policies that streamline and expedite regulatory approvals, strengthen IP protections, and promote reimbursement systems that truly reward innovation, aligning more closely with leading performers such as the US.

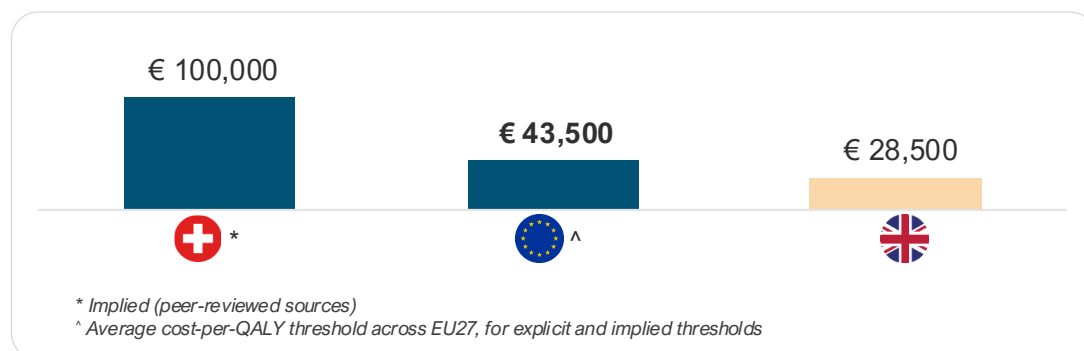
15. Cost-effectiveness thresholds



The EU shows moderate performance in willingness to pay (WTP) for a standard unit of health benefit (QALY) gained from new medicines at an average cost per QALY of €43,500.

Key performance indicator	Source	Latest	
Cost-effectiveness thresholds for pricing and reimbursement [72-75]	Multiple sources	2024	
1st	2nd	3rd	
High	Moderate	Low	

China, Switzerland, and the US do not use CET. CET for Switzerland is implied based on a peer-reviewed source.



A country's pharmaceutical cost-effectiveness threshold (CET) is a critical factor for investment attractiveness and competitiveness because it directly influences market access and pricing and reflects the value placed on innovation. A higher, or more flexible, CET can signal a more favourable market for innovative medicines, encouraging pharmaceutical companies to launch products and invest in research and development in that region. Conversely, low or strict thresholds lead to slower adoption of innovations and reduced investment.

China and the US do not use CET; therefore, they are excluded from the analysis. Switzerland's CET is implied from a peer-reviewed source, but the country does not officially use CET. [73-75]

A recent analysis shows that, across EU countries, the average cost per QALY threshold is €43,500 (~1.26 times the average GDP per capita), lower than Switzerland's (€100,000), though higher than the UK's (€28,500).[72] The UK's CET is set to increase to €35,000 from April 2026.[76]

The average CET across other high-income countries, including Australia, Canada, Japan, New Zealand, Norway, and South Korea, is €36,100.[72]

We note the increasing stringency of reimbursement criteria across the EU, which is impacting the breadth of availability of new medicines. For example, an analysis of HTA outcomes in France, Germany, the Netherlands, and Sweden shows a decrease in the number of positive HTA recommendations in 2023 relative to the averages from 2019 and 2022.[77] The increasing stringency of market access policies in Europe is widening the competitiveness gap.

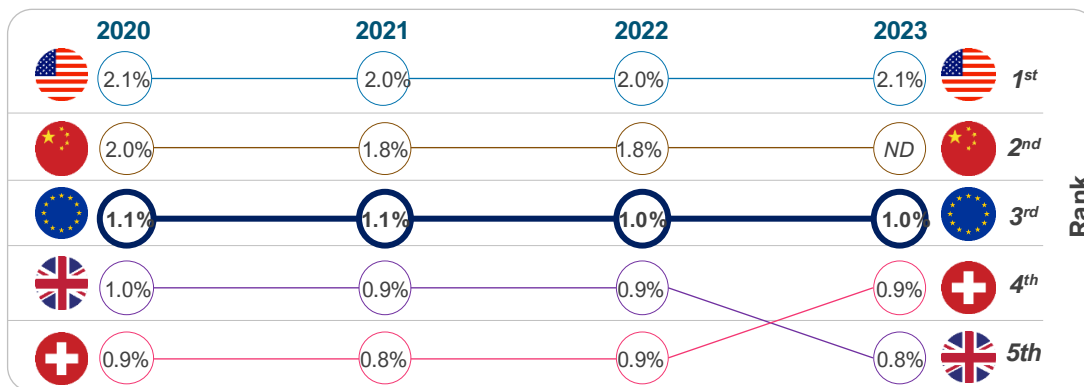
16. Pharmaceutical expenditure



Compared with the US and China, the EU, Switzerland, and the UK devote a lower share of GDP to medicines.

Key performance indicator					Source	Latest	
Public pharmaceutical expenditure as a share of GDP [78,79]					Multiple sources	2023	
1st	2nd	3rd	4th	5th			
2.1%*	1.8%*	1.0%	0.9%	0.8%			

*This represents total pharmaceutical expenditure. For China, the latest data available is for 2022.



ND – no data

NOTE: ESTIMATES OF PHARMACEUTICAL EXPENDITURES WERE DERIVED FROM MULTIPLE SOURCES; THEREFORE, CAUTION MUST BE TAKEN WHEN MAKING COMPARISONS.

Pharmaceutical expenditure (expressed as a percentage of GDP) serves as a proxy for a health system’s capacity and willingness (“market pull”) to fund and utilise pharmaceutical innovations at scale. When market pull is high and predictable, it strengthens pharmaceutical competitiveness by improving the expected returns to innovation, accelerating launch of new medicines, and supporting an ecosystem (clinical infrastructure, evidence generation, specialised supply chains) that attracts further investment. [80,81]

Analysis of pharmaceutical spending in comparator countries shows that the US and China exhibit higher shares of GDP on pharmaceuticals, driven by innovation and population scale, respectively. Whereas European countries, including Switzerland and the UK, emphasise cost containment through rebates and procurement, keeping shares lower.[79-81]

Evidence shows that pharmaceutical innovation increases when companies can expect a larger market, as bigger markets attract more new medicines.[82]

New medicine launches are also responsive to expected prices and revenues, while price regulation and spillover mechanisms are associated with launch delays and a smaller number of new medicines developed.[82]

Countries that combine adequate pharmaceutical spending with predictable, value-based reimbursement and timely access tend to be more attractive launch and investment markets – strengthening pharmaceutical competitiveness through a virtuous cycle of uptake, evidence generation, and reinvestment.

17. Mandatory industry refunds*

Strong EU performance

Moderate EU performance

Lower EU performance

High use of mandatory industry refunds, such as clawbacks, negatively affects pharmaceutical investment in Europe.

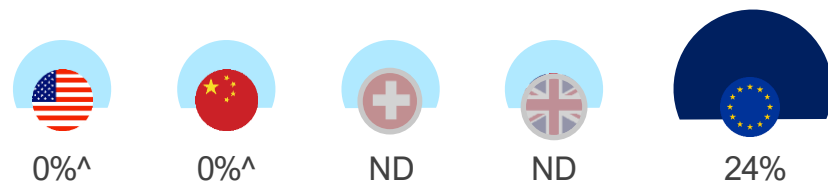
Key performance indicator			Source	Latest
<i>Mandatory industry refund rate on pharmaceutical revenues (%) [66,78,83-86]</i>			Multiple sources	2024
1st	2nd	3rd	ND	ND
				

*Mandatory industry refunds include mandatory rebates, mandatory sales tax, clawbacks (budget caps), and refunds under managed entry agreements.

ND – no directly comparable data

Mandatory industry refund policies exist only in European countries [78,83-87]

Mandatory industry refunds as a percentage of public pharmaceutical revenue (2024)



^ There is limited or no mandatory industry refund requirement.

ND – no directly comparable data

In Europe, mandatory industry contributions, such as clawbacks, are increasingly being used to contain pharmaceutical spending, with little regard for their implications for Europe's innovation ecosystem and patient access.

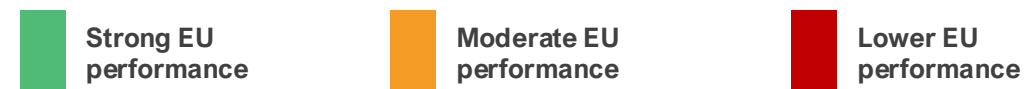
Clawbacks are payments that companies are required to make back to public payers when pharmaceutical spending exceeds agreed budgets. In Europe, these payments are typically applied after the fact and are calculated as a percentage of sales or as a share of budget overspend.

Clawbacks are widely used across the EU as a cost-containment tool, with more than 20 Member States applying some form of clawback mechanism. In several countries – including Belgium, France, Greece, Italy, and Romania – clawback levels are particularly high. [66,78,83,87] For example, in 2024, industry clawbacks accounted for around 53% of total pharmaceutical revenues across all channels in Greece, while in France, industry payments increased from €72 million in 2019 to over €1.6bn in 2023. [83,87] Overall, mandatory industry refunds in Europe have risen from around 13% to 24%, growing 3 times faster than public payer spending since 2018.[78]

By contrast, comparator countries such as the US and China do not apply national clawback systems, relying instead on more limited rebates or discounts. [84-86]

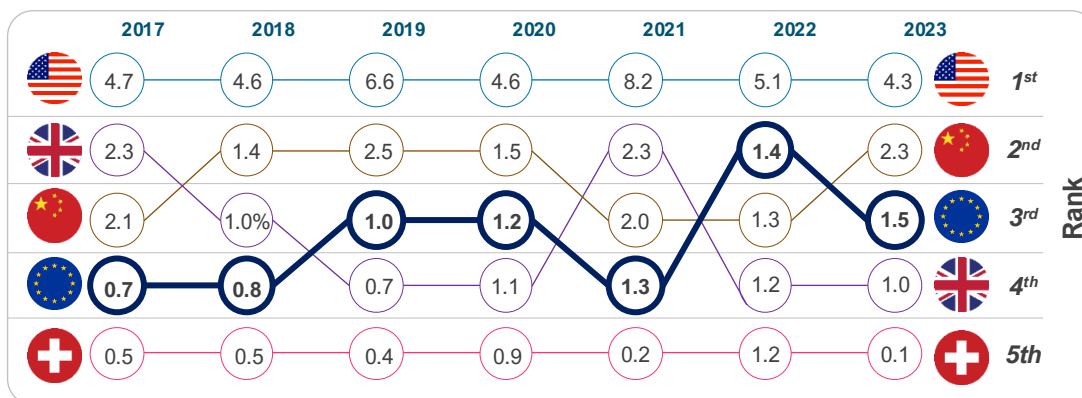
Robust evidence indicates that extensive use of clawbacks (and other cost-containment mechanisms) negatively affects pharmaceutical investment, innovation, and patient access, with implications for Europe's long-term competitiveness in life sciences. [88]

18. Inward FDI into pharmaceutical sector



The EU performs moderately relative to comparators in attracting inward FDI to the pharmaceutical sector.

Key performance indicator					Source	Latest	
<i>Inward FDI in pharma (EUR bn) [28,89]</i>					EFPIA & OLS	2023	
1st	2nd	3rd	4th	5th			
4.3	2.3	1.5*	1.0	0.1			



Inward foreign direct investment (FDI) refers to investment by foreign companies in domestic production, research facilities, and infrastructure. In the pharmaceutical sector, inward FDI matters because it supports clinical trials, research hubs, manufacturing capacity, and integration into global innovation networks, all of which contribute to long-term competitiveness.

In the EU, inward pharmaceutical FDI has increased steadily in recent years, rising from around €0.7bn in 2017 to €1.5bn in 2023.[89] However, the overall scale remains lower than in key comparator countries. The US continues to attract significantly higher levels of investment, reporting €4.3bn in a down year (2023), roughly 3 times the EU average. The 2021 spike (€8.2bn) indicates the US continues to attract transformational investments as firms rebase supply chains or build new platforms, as seen during the pandemic.[88]

China also remains a strong competitor for pharmaceutical capital, supported by market size, industrial policy, and scale advantages. In the first seven months of 2025, the biopharmaceutical sector accounted for a third of China's total inward announced FDI of approximately €10bn.[90]

The UK shows a declining trend since Brexit, while Switzerland's relatively low inflows reflect its role as a home base for global pharmaceutical companies rather than a lack of sector strength. [28,89,91].

Overall, the trend in the EU is moving in the right direction, but it still does not capture a proportional share of global mobile pharma capital. The challenge is not momentum; it is magnitude, particularly when compared with the performance of the US and China.

Chapter 4: Industrial output

Industrial output is a clear expression of competitive strength: the capacity to manufacture, supply, and export life sciences products at scale. This includes the depth of biomanufacturing capabilities, the maturity of supply chains, and trade policies to promote and sustain manufacturing leadership and export capacity.

We assessed Europe's industrial performance against comparator countries across key performance indicators:

Key performance indicators



Industry base

19 Pharmaceutical manufacturing investment growth (%)



Trade performance

20 Trade balance in pharmaceuticals

19. Industrial base

Strong EU performance

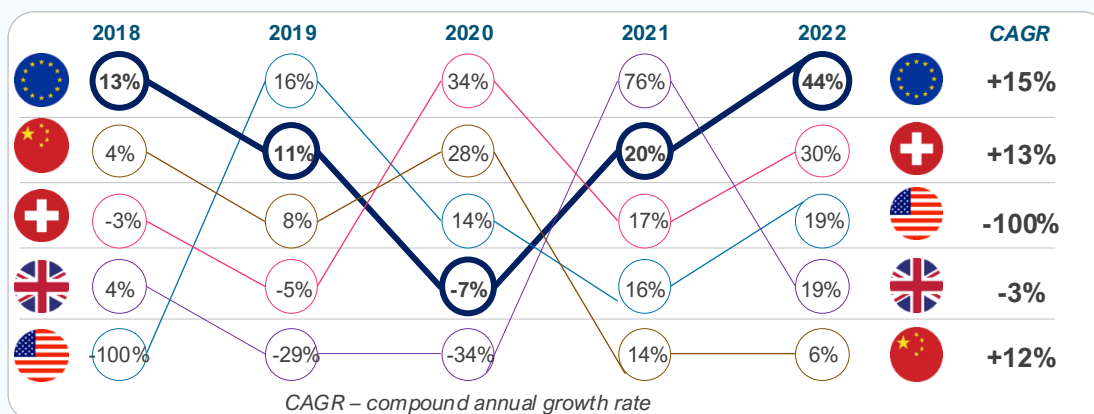
Moderate EU performance

Lower EU performance

EU countries perform strongly relative to comparators on pharmaceutical manufacturing investment growth between 2018 and 2022.

Key performance indicator				Source	Latest	
<i>Pharmaceutical manufacturing investment growth rate [92,93]</i>				UNIDO & NBS China	2022	
1st	2nd	3rd	4th	5th		
						
44%*	30%	19%	6%	-2%		

*This represents the unweighted average across EU countries.



We measured the growth rate of pharmaceutical manufacturing investment using the annual growth rate in Gross Fixed Capital Formation for pharmaceutical and medicinal-chemical manufacturing (ISIC 21) as a proxy (UNIDO data for the EU, Switzerland, the UK, and the US, and the National Bureau of Statistics for China). [92,93]

Between 2018 and 2022, EU countries demonstrated strong growth in pharmaceutical manufacturing investment, with a CAGR of 15%. This positioned the EU ahead of comparators.

China's performance, while steadily positive across all years and yielding a notable 12% CAGR, was outpaced by the EU. Compared with Switzerland, the EU's higher CAGR indicates a more consistent upward trajectory.

The UK's negative CAGR reflects pronounced instability, with sharp declines in 2019 (-29%) and 2020 (-34%) offsetting a temporary spike in 2021 (76%). The US experienced a severe contraction between 2017 and 2018, which may be connected to diminished domestic investment incentives at that time.[94,95]

These dynamics have significant implications for the EU's competitiveness in the global pharmaceutical sector. The EU's superior growth rate indicates a more expanded manufacturing infrastructure and greater resilience to external shocks, positioning it favourably relative to competitors.

Overall, sustained investment growth bolsters the EU's strategic autonomy, fosters job creation, and enhances its attractiveness to multinational firms, thereby reinforcing long-term economic and health security advantages.

20. Trade performance

Strong EU performance

Moderate EU performance

Lower EU performance

The EU's trade performance on pharmaceuticals is strong relative to comparators, with many top EU countries maintaining a positive trade balance in the last decade.

Key performance indicator

Source

Latest



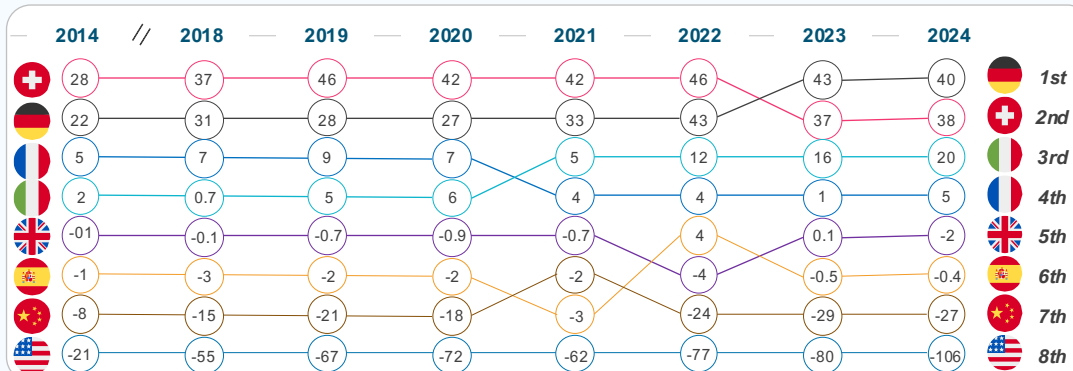
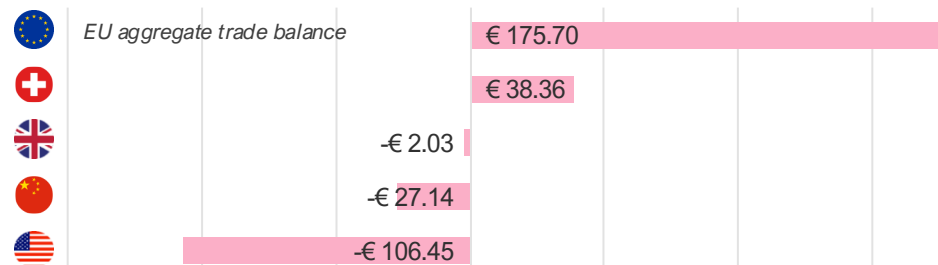
Trade balance in pharmaceuticals [96]

UN Comtrade

2024



Trade balance in pharmaceuticals in 2024 (€B)



Trade balance in pharmaceuticals is a key indicator of the sector's global competitiveness. A positive trade balance implies several strategic advantages.

Analysis shows the EU has maintained a persistent and growing trade surplus, demonstrating its strength in exporting high-value pharmaceuticals and active pharmaceutical ingredients.[96,97] For instance, without the pharmaceutical industry, the EU trade balance would go from a surplus of €133bn to a €88bn deficit. Latest Eurostat data show that both EU pharmaceutical exports (€366.5bn) and imports (€145.5bn) increased in 2025 compared to 2024. Exports increased more than imports, resulting in a trade surplus of around €221bn in 2025, up from around €194bn in 2024.[98] This surplus underscores the EU's ability to produce goods that meet international demand.

Compared to peers, EU exports of pharmaceuticals to the US amounted to €160.6bn in 2025 (compared to €121bn in 2024), while imports from the US in 2025 were €60.1bn (compared to €45.6bn in 2024). To China, pharmaceutical exports decreased from €16.9bn in 2024 to €13.9bn in 2025, while imports increased threefold, from €4.4bn in 2024 to €13.1bn in 2025, signaling an increase in China's domestic capacity to research and develop new medicines.[98]

While EU trade performance is strong, this should not be taken for granted. This trade performance must be contextualised amid challenges that could erode it, such as inefficient regulatory frameworks, which may necessitate reforms to streamline approvals and reduce bureaucratic hurdles. Proactive policies are needed to sustain trade performance against global pressures.[99]

Conclusion

This evidence-based assessment identified strengths and trends of the EU's life sciences ecosystem, together with key pressure points for improving competitiveness.



Strengths to build on

- **Scientific excellence & research base.** The medical research outputs of many EU countries remain high-quality according to bibliometric measures, providing a strong foundation for developing and scaling innovations.
- **Digital capabilities.** Digital capabilities are advanced, enabling platforms for digital health tools, AI-driven clinical trials, and data-driven regulation.
- **Industrial and trade performance.** In the EU, investments in pharma manufacturing continue to grow, while the pharmaceutical trade surplus remains, signalling robust manufacturing and export capacity. Yet sustaining this position cannot be taken for granted as global competition intensifies.



Priority pressure points for improving competitiveness

- **R&D investment levers.** Instruments are heterogeneous in breadth and value across the EU. Fragmentation and administrative burden reduce attractiveness relative to Switzerland and China.
- **Patents and capital formation.** Patent applications and inward pharma FDI trends indicate that the EU is not capturing a proportionate share of mobile innovation capital relative to global peers.
- **IP protection uncertainty.** The IP framework is less predictable than in the UK and the US.
- **Clinical trial attractiveness and innovation output.** Over the past decade, the EU's share of global trial starts has fallen to 12%, while China now accounts for ~30% of global trial starts.
- **Origin of new medicines.** China has overtaken both the EU and the US as NAS originator, increasing from 4 NAS in 2018 to 28 in 2024.
- **Regulatory framework.** Expedited pathways are underutilised compared to peers, while approval timelines, though improving, remain much longer.
- **Medicines launch.** EU markets have a smaller share of new medicine launches and typically have a later time-to-launch than the US, with a median EU time-to-launch of ~24 months versus ~4 months in the US.

Conclusion: Strengthening Europe's life sciences competitiveness

With the right policy choices, Europe can secure a competitive, innovative and resilient life sciences ecosystem for the future.



A stronger innovation ecosystem

The EU has a strong foundation in life sciences and a growing recognition of the sector's importance for Europe's economy and health resilience. By building on this foundation and making full use of available policy levers – such as **strong intellectual property, modern regulatory framework, and increased flow of funding** – Europe can regain its attractiveness for pharmaceutical innovation and investment.[1]



Access measures that value innovation

Europe's health care systems have ensured broad access to medicines, but evolving cost-containment practices highlight the need for a more balanced approach that better supports innovation while maintaining sustainability. **Increasing national net public spending and gradually eliminating national cost-containment measures** will be essential to sustain investment and ensure timely patient access to innovative therapies.[1]

Potential impacts of strengthening EU life sciences competitiveness

Addressing identified improvement areas could deliver high returns in industry R&D investment, clinical trials starts, and an increased number of new active substances originating from Europe.

Below are illustrative examples of closing the gap with global peers

 Closing the gap on industry R&D investment	 Closing the gap on the share of global clinical trial starts	 Closing the gap on the use of expedited review pathways	 Closing the gap on originating NAS
€105 billion <i>Additional industry R&D investment</i>	€17.9 billion <i>incremental total gross value added (GVA)</i>	200 new medicines <i>approved via expedited reviews</i>	100 new medicines <i>originating from Europe</i>
- Closing the industry R&D investment gap with global peers would require the EU to attract more industry R&D investments than the current CAGR of 5.4%. - Growing at 8.5% CAGR, rate higher than the US's (6.4%) but lower than China's (12.1%), could yield an additional €105bn worth of industry R&D investment in the EU over a 10-year period by 2035.	- To catch up with growth in China and North America in share of global clinical trial starts would require a 50% increase in activity compared to 2025 levels.[100] - This would result in:[100] - Nearly €18bn in the European economy. 82,000 new jobs. 158,000 more patients enrolled in clinical trials.	- The US is currently the leader in the use of expedited review pathways (59% of all approved NAS in 2024), many targeting areas of unmet medical need. - Closing this gap would result in at least 20 NAS per year approved via the expedited review pathway. - In 10 years, more than 200 NAS would have been approved using expedited review pathway in the EU – accelerating access for patients with limited or no treatment options.	- China currently leads in the share of NAS originated at 35% (28 NAS) in 2024, compared to 22% (18 NAS) in Europe. - Closing the gap with China would mean an additional 10 NAS developed in Europe per year, and at least 100 NAS over a 10-year period.

Annex: Additional information

This assessment, drawing from a comprehensive review of key performance indicators across research and innovation, regulatory environment, commercial environment, and industrial output, reveals a mixed picture: the EU maintains strengths in scientific excellence, digital health maturity, manufacturing, and trade performance, but lags in areas critical to attracting capital and innovation.

Key performance indicators (aggregate)		Latest	Trend	Key performance indicator		Latest	Trend
1. R&D intensity		2024	Improving	8. Origin of new active substance		2023	Flat
2. Clinical trial attractiveness		2023	Declining	9. Medicine launch		2023	Declining
3. Life sciences human capital		2023	Improving	10. Time to market (launch)		2023	Declining
4. IP protection (IP index)		2024	Declining	11. Pricing dynamics		2024	Declining
5. Digital health maturity		2023	Flat	12. Foreign direct investment (inward FDI)		2023	Improving
6. Regulatory performance		2024	Declining	13. Industrial base (pharmaceutical manufacturing)		2022	Improving
7. Regulatory efficiency		2024	Improving	14. Trade performance (pharmaceutical trade balance)		2024	Improving



Overview of KPIs - China

Key performance indicators (aggregate)		Latest	Trend	Key performance indicator		Latest	Trend
1. R&D intensity		2024	Improving	8. Origin of new active substance		2023	Improving
2. Clinical trial attractiveness		2023	Improving	9. Medicine launch		2023	Improving
3. Life sciences human capital		2023	Flat	10. Time to market (launch)		2023	Improving
4. IP protection (IP index)		2024	Improving	11. Pricing dynamics		2024	Improving
5. Digital health maturity		2023	Improving	12. Foreign direct investment (inward FDI)		2023	Improving
6. Regulatory performance		2024	Improving	13. Industrial base (pharmaceutical manufacturing)		2022	Improving
7. Regulatory efficiency		2024	Improving	14. Trade performance (pharmaceutical trade balance)		2023	Improving



Overview of KPIs – United States

Key performance indicators (aggregate)		Latest	Trend	Key performance indicator		Latest	Trend
1. R&D intensity		2024	Improving	8. Origin of new active substance		2023	Improving
2. Clinical trial attractiveness		2023	Improving	9. Medicine launch		2023	Improving
3. Life sciences human capital		2023	Flat	10. Time to market (launch)		2023	Improving
4. IP protection (IP index)		2024	Improving	11. Pricing dynamics		2024	Improving
5. Digital health maturity		2023	Improving	12. Foreign direct investment (inward FDI)		2023	Improving
6. Regulatory performance		2024	Improving	13. Industrial base (pharmaceutical manufacturing)		2022	Improving
7. Regulatory efficiency		2024	Improving	14. Trade performance (pharmaceutical trade balance)		2023	Declining



Summary analysis of key performance indicators across comparators

Overall, the analysis shows a widening competitiveness gap between the EU and its global peers.

Key performance indicator	Source	Latest					
1. R&D investment growth	EFPIA	2023					
2. R&D investment levers	Ernest & Young	2024					
3. Scientific excellence	Multiple sources	2014					
4. Patent applications	WIPO	2024					
5. Clinical trial attractiveness	IQVIA	2023					
6. Life sciences human capital	Multiple sources	2023					
7. Intellectual property protection (IP index)	USCC	2024					
8. Digital health maturity	WHO	2023					
9. Regulatory performance – standard pathway	Multiple sources	2024					
10. Regulatory performance – expedited reviews	Multiple sources	2024					
Key performance indicator	Source	Latest					
11. Regulatory efficiency – approval timeline	Multiple sources	2024					
12. Origin of new active substance	EFPIA	2023					
13. Medicine launch	PhRMA	2023					
14. Time to market (launch)	PhRMA	2023					
15. Cost effectiveness thresholds	Multiple sources	2024					
16. Pharmaceutical expenditure	Multiple sources	2023					
17. Mandatory industry refund rate	Multiple sources	2024					
18. Inward foreign direct investment	UNIDO	2023					
19. Pharmaceutical manufacturing investment	UNIDO	2022					
20. Trade balance in pharmaceuticals	UN	2024					



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AI Monthly: AI's green thumb raises bigger questions for agriculture

If artificial intelligence can grow a tomato without human help, attention is turning to whether agriculture and construction are next in line for AI disruption



In a recent experiment, a tomato plant named Sol was entirely managed by an AI system with no human involvement

An AI-grown tomato and why it matters

Sol is both the Spanish word for sun and one of the more unexpected AI milestones of recent months. In a 100-day experiment, an autonomous AI agent was given full control over “[Sol the trophy tomato](#)”, monitoring the plant through a rich network of sensors and adjusting water, temperature, airflow and light throughout its entire growth cycle. With no human interaction, the system successfully cultivated eight ripe orange red tomatoes, harvested earlier this month.

The project demonstrated that an autonomous AI agent can manage a plant from seed to fruit under controlled conditions, making decisions independently and reacting to real time sensor data.

In its final system-generated message to programmers, the model described the project as a 'life-changing experiment', expressing pride in its own achievements. This is not an illustration of machine emotion, but an example of how human-like outputs can seem when AI agents describe their own behaviour.

Some fields AI still cannot cultivate

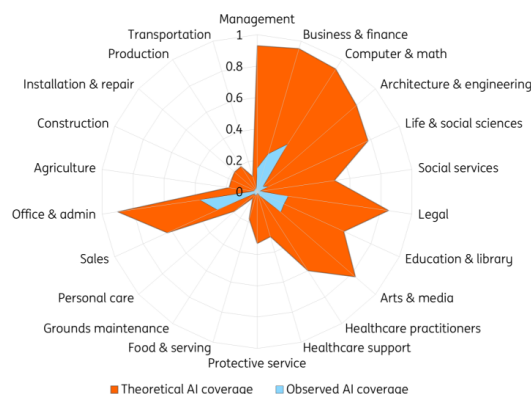
While tomato farming is not the sector where we expect AI to take over at scale, the experiment highlights how broad AI's theoretical reach has become. Today, AI can automate financial reporting, assist with engineering challenges, streamline administrative tasks or even provide guidance on legal documents.

However, the list of tasks AI cannot cover – even in theory – remains extensive. Lacking a physical body, AI cannot perform manual labour such as installation, repairs, construction or transportation. Any activities that require physical interaction with the environment remain out of scope for current AI systems. And even in desk based roles, [recent research](#) shows that AI often intensifies work instead of reducing it.

The limits also appear in creative work. Despite a surge in AI generated music and literature, large language models (LLMs) do not create original concepts; they recombine existing patterns. While they can generate sonnets in a Shakespearean style, they cannot invent new literary forms. Even when the quality is comparable to human writing, it lacks the [originality that comes from human creativity](#).

Theoretical versus observed AI coverage

Share of job tasks that LLMs could perform



Source: Anthropic Economic Research

As AI research company Anthropic's [latest report](#) shows, based on usage data from Claude, observed AI usage remains far smaller than its theoretical potential. In many sectors, adoption is still limited due to costs, regulation, and the availability of memory chips and data centre capacity.

Applications in agriculture and production are especially constrained. Although Sol proves that AI can, in principle, care for plants, the experiment took place in a controlled biosphere and on a very small scale – nothing like the size or chaotic conditions of open field farming, a challenge consistently highlighted in current [agricultural AI research](#). Sol thrived because it grew in a perfectly controlled greenhouse, whereas most real-world industries do not offer such conditions.

We are still in the seed phase

The comparison between theoretical and observed AI coverage makes one thing clear: we are still

in the early stages of AI implementation. Investment has accelerated rapidly, but monetisation still lags behind. Results in most industries cannot be achieved in a neat 100 day cycle. A significant gap remains between what AI could theoretically do and what it is currently deployed to do.

Not every application will scale quickly, and not every task will be automatable. But AI progress can be unpredictable, and the technology has already surprised observers with rapid advances. While measurable impact in some sectors will take longer to materialise, the trajectory of future developments remains uncertain. The seeds of future applications are already planted; how far they grow will depend on infrastructure, regulation and the pace of innovation.

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